

The logo consists of the letters "TLMI" in a bold, white, sans-serif font. It is enclosed within a dark blue rounded rectangle that has a white border and a small white triangular detail at the top right corner, resembling a document icon. The background of the entire page features abstract geometric shapes in dark blue, green, and grey, creating a modern, layered effect.

TLMI

2021 Management Ratio **REPORT**



2021 Management Ratio REPORT

The TLMI Management Ratio Report presents a detailed analysis of key operating data from the tag and label manufacturing industry. Based on confidential surveys completed by 75 companies, the Management Ratio Report includes a compilation and analysis of financial and operations data, as well as additional profile information.

The Management Ratio Report is published by the Tag and Label Manufacturers Institute, Inc. (TLMI). TLMI is a member-driven association strongly committed to providing business solutions that enhance the prosperity of its members and the narrow web tag, label, and packaging industries.

The Management Ratio Report was compiled, tabulated and analyzed by Industry Insights, Inc. (www.industryinsights.com), an independent professional research and consulting firm that specializes in conducting financial operating surveys, compensation studies, market assessment surveys, customer satisfaction research, educational programs, and other forms of customized research.

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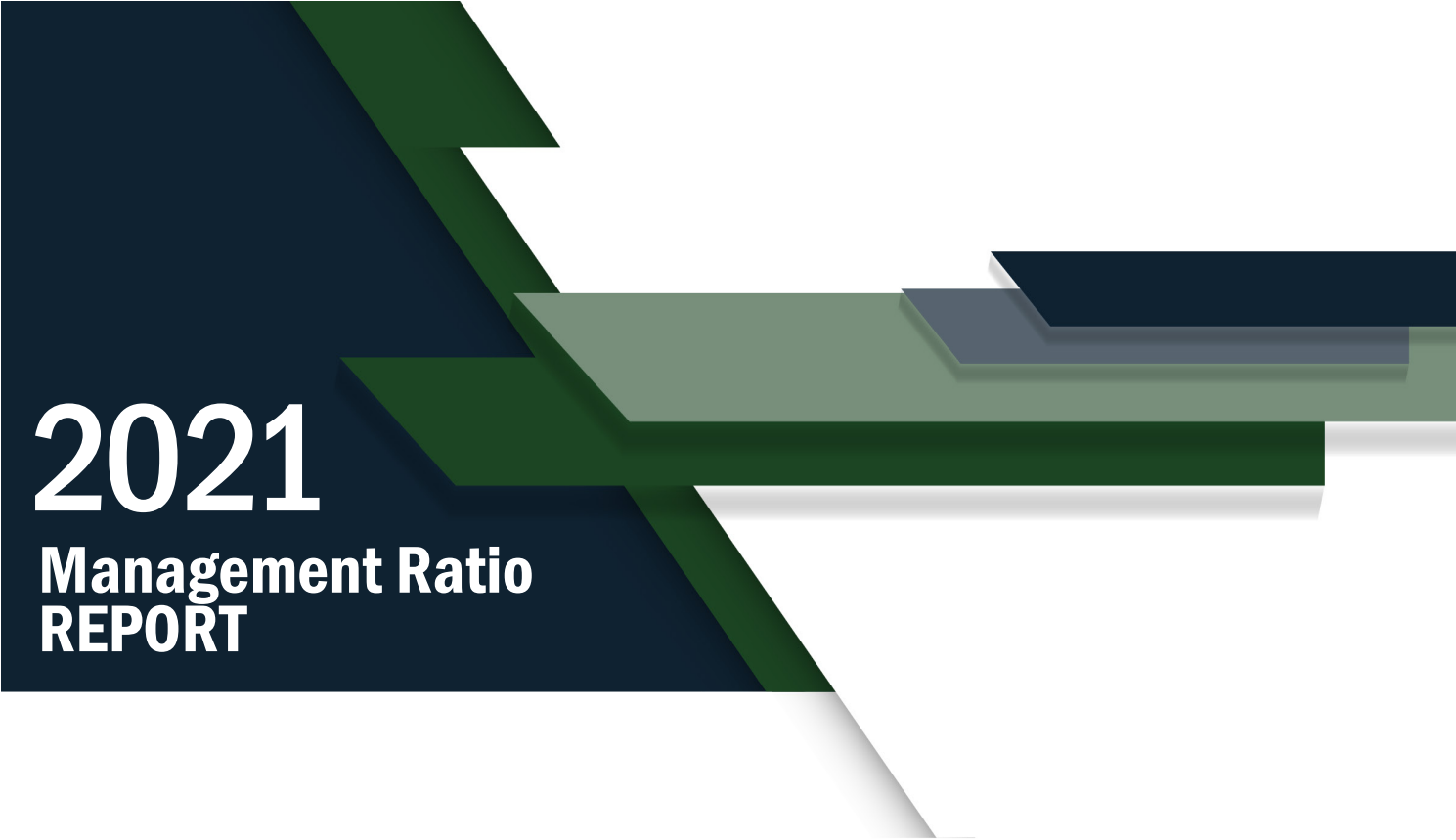


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2021

**Management Ratio
REPORT**

Introduction



TLMI

About this Report

The Management Ratio Report has been designed to provide easy-to-understand guidelines for identifying business performance improvement opportunities.

This report was prepared by Industry Insights, Inc. of Columbus, Ohio, while working closely with TLMI representatives in the design of the study. Confidential survey forms (refer to the Appendix for a sample) were made available to TLMI members via email, beginning in late December 2021 and extending through early-March 2022.

This report includes comparative financial ratios, operations data and company profile information. The information in this report has been segmented by sales volume and profitability (based on net income before taxes performance).

This report provides an “abridged” view of the Management Ratio Report results. In cases where a more precise data segment is desired, all survey participants have been given access to interactive, Online Reporting Tools (housed in the online TLMI Management Ratio Report Portal at www.TLMIratioreport.com) which allows for more specific data analyses (provided sampling requirements are met) than this report could reasonably contain. Users of the Online Reporting Tools are able to customize their own data cuts to create benchmarks that most closely match their circumstances or areas of interest. Additional filter options available through the Online Reporting Tools include:

- Company type
- Number of employees
- Geographic location
- Percentage of sales from T&L products

A valuable feature of the Management Ratio Report is that all companies participating in the survey automatically receive a free, confidential Company Performance Report. This report presents a company’s own ratios and data computed in a manner consistent with those appearing in the full benchmarking report, and it is displayed alongside appropriate industry comparatives.

As shown on the following page, on any given line of the Company Performance Report, a company’s own data is included along with reported norms for all respondents and for similar companies. Thus, the individual owner/manager is provided invaluable information without needing to spend time and effort performing the calculations manually.

As part of their Company Performance Report, all participants receive a “Report Card” which essentially “grades” each company on key ratios, using the quartiles as benchmarks. The Report Card focuses on the key operating ratios and provides actionable feedback on the success and/or improvement areas specific to the respondent’s company.

Sample Company Performance Report pages are shown on the following page.

Sample Company Performance Report

The images on this page provide a **sample** of each of the sections that are included in each participant's Company Performance Reports (CPR). The actual CPR that participants receive contains information about their organization, compared against other similar companies and formatted as the pages below.

TLMI MANAGEMENT RATIO STUDY DETAILED PERFORMANCE RESULTS

COMPANY NO. SAMPLE
SALES (AS REPORTED): \$22,500,000

	Your 2021	Your 2020	Your 2019	All Firms	\$15 to \$35 Million	Medium Top Half
KEY PERFORMANCE MEASURES						
SALES						
Average net sales	\$22,500,000	\$21,250,000	\$19,750,000	\$29,522,517	\$22,142,237	\$23,605,980
Median net sales	\$22,500,000	\$21,250,000	\$19,750,000	\$11,083,606	\$21,599,923	\$22,960,932
PROFITABILITY						
Net income before taxes as a % of sales	9.8%	10.5%	10.2%	8.3%	8.8%	12.3%
EBITDA as a % of sales	13.7%	1				
Return on assets	21.2%	2				
Return on equity	44.3%	5				
LIQUIDITY						
Current assets to current liabilities	361.3%	41				
Current assets to total assets	58.9%	6				
EFFICIENCY						
Accts receivables in days	41.4					
Accts payables in days	17.9					
Inventory turns in days	32.9					
Cash cycle in days	54.5					
Debt service ratio	1.7					
Gross profit return on inventory	\$4.34					
Asset turns in days	171.1					
VALUE ADDED RATIOS						
Value added as a % of sales	57.0%	5				
Net income before taxes as a % of value added	18.0%	2				
Value added per employee	\$132,320	\$13				
CAPITAL STRUCTURE						
Debt to equity	53.0%	4				
Equity to total assets	64.1%	6				
GROWTH TRENDS						

Your data compared to the appropriate industry norms

TLMI MANAGEMENT RATIO STUDY DETAILED PERFORMANCE RESULTS

COMPANY NO. SAMPLE
SALES (AS REPORTED): \$22,500,000

	Your 2021	Your 2020	Your 2019	All Firms	\$15 to \$35 Million	Medium Top Half
PROFIT MARGINS ON T & L PRODUCTS (as a percent of t & l net sales)						
Net sales (T & L products)	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%
Cost of materials	42.8%	42.6%	42.7%	43.2%	42.8%	42.3%
Gross profit on materials	57.2%	57.5%	57.3%	56.8%	57.2%	57.7%
Net sales (T & L products)	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%
Cost of materials and labor	60.6%	60.2%	60.4%	61.5%	61.2%	59.2%
Gross profit on materials and labor	39.4%	39.8%	39.6%	38.5%	38.8%	40.8%
Net sales (T & L products)	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%
Cost of materials, labor, overhead	71.5%	70.6%	71.1%	73.4%	72.5%	68.7%
Gross profit	28.5%	29.4%	28.9%	26.6%	27.5%	31.4%
SELLING EXPENSES (as a percent of net sales)						
Sales salaries and commissions	4.2%	4.0%	4.1%	4.4%	4.4%	3.7%
Travel and entertainment expense	0.5%	0.6%	0.5%	0.5%	0.6%	0.5%
	1.4%	1.4%	1.3%	1.4%	1.5%	
	0.3%	0.3%	0.4%	0.3%	0.2%	
	0.7%	0.7%	0.9%	1.0%	0.4%	
	7.0%	7.0%	7.5%	7.6%	6.3%	
	6.1%	6.1%	6.3%	6.5%	5.6%	
	3.0%	3.1%	4.0%	3.2%	2.7%	
	9.0%	9.2%	10.3%	9.8%	8.3%	
	15.1%	15.6%	18.2%	17.2%	13.0%	
	2.0%	2.0%	2.0%	2.3%	1.8%	
	5.4%	5.4%	5.3%	5.1%	5.6%	
	0.9%	1.0%	1.3%	1.1%	0.7%	
	2.5%	2.6%	3.4%	3.7%	1.3%	
	25.9%	26.6%	30.3%	29.4%	22.3%	
	21.2%	21.7%	24.6%	24.2%	18.2%	
	10.1%	11.1%	16.1%	11.8%	8.4%	

NOTE: THESE EVALUATIONS ARE BASED ON COMPARISONS OF YOUR COMPANY VERSUS TLMI MEMBERS PARTICIPATING IN THIS YEAR'S STUDY. THESE MAY NOT NECESSARILY BE STRENGTHS OR WEAKNESSES AS INDICATED. RATHER, THESE ARE MERELY MEANT TO POINT OUT AREAS YOU MAY WANT TO INVESTIGATE.

TLMI MANAGEMENT RATIO STUDY (All Respondent Comparison)

COMPANY NO. SAMPLE
SALES (AS REPORTED): \$22,500,000

PROFITABILITY		
Net income before taxes as a % of sales	>>>> STRONG <<<<	Congratulations
EBITDA as a % of sales	>>>> GOOD <<<<	Well Done
Return on assets	>>>> STRONG <<<<	Congratulations
Return on equity	???? WEAK ????>	Investigate Further
SALES, GROSS PROFIT, AND INVENTORY		
Sales change	>>>> GOOD <<<<	Well Done
Gross profit	???? FAIR ????>	Some Concern Warranted
Inventory turns in days	???? WEAK ????>	Investigate Further
Gross profit return on inventory	>>>> STRONG <<<<	Congratulations
EXPENSES AND EMPLOYEE PRODUCTIVITY		
Selling and admin expenses as a % of sales	???? FAIR ????>	Some Concern Warranted
Total compensation as a % of sales	>>>> GOOD <<<<	Well Done
Net sales per employee	>>>> GOOD <<<<	Well Done
FINANCIAL AND CAPITAL MANAGEMENT		
Current Ratio	>>>> STRONG <<<<	Congratulations
Debt service ratio	???? FAIR ????>	Some Concern Warranted
Debt to equity	>>>> STRONG <<<<	Congratulations
Asset turns in days	???? FAIR ????>	Some Concern Warranted
Cash cycle in days	>>>> GOOD <<<<	Well Done
VALUE ADDED RATIOS		
Value added as a % of sales	???? FAIR ????>	Some Concern Warranted
Net income before taxes as a % of value added	>>>> STRONG <<<<	Congratulations
Value added per employee	>>>> GOOD <<<<	Well Done

A "Report Card" evaluation of your own firm's performance

How to Use this Report

The Management Ratio Report has been designed to help companies evaluate their own performance relative to that of similar companies, in order to identify improvement opportunities. The statistics in this report represent broad performance “yardsticks” against which a company’s performance can be measured.

Using the information within this report, industry members can compare their own company’s financial, operating, and sales figures with: the group of participants as a whole, companies of a comparable sales volume and companies by profitability. Spotting significant differences between your own company’s performance and the composites can be the first step toward improving performance. Please keep in mind:

1. A deviation between your company’s figures (for any performance measure) and numbers in the report is not necessarily good or bad. It merely indicates additional analysis may be required. As a rule, the larger the difference, the greater the need for further investigation.
2. In situations where large deviations do exist, it may be helpful to go back and calculate the same performance measure over the past several years to identify any trends that may exist.
3. The information in this report should be used as a tool for informed decision making rather than absolute standards. Since companies differ as to their product emphasis, location, size, and other factors, any two companies can be successful yet have very different experiences with regard to certain performance measures.

How the Tables are Organized

The tables in this report are organized to include a number of important findings for each relevant “grouping” of similar companies.

Detailed Information is reported for the following*:

All Respondents

Net Sales:

- Under \$6 Million (small companies)
- \$6 Million to \$14.9 Million (mid-range companies)
- \$15 Million to \$35 Million (medium companies)
- Over \$35 Million (large companies)

Profitability (based on net income before taxes)

- All Respondents (top half)
- Under \$6 Million (top half)
- \$6 Million to \$14.9 Million (top half)
- \$15 Million to \$35 Million (top half)
- Over \$35 Million (top half)

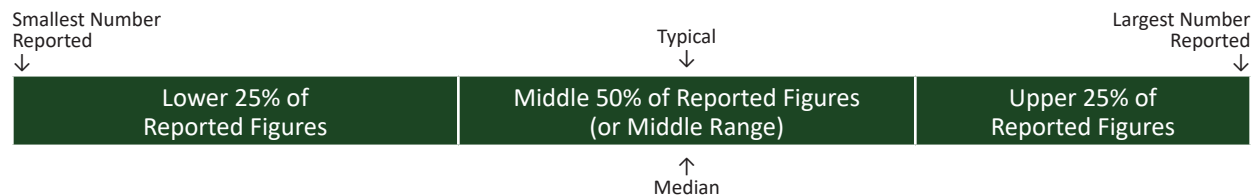
**Additional data segments are available through the Online Reporting Tools.*

Understanding the Data

In order to use the information in this report to its maximum advantage, it is important to understand how the data are arranged and how to interpret the results.

Interpreting the Numbers

Most of the results included in this study are reported on the basis of medians rather than arithmetical averages or means. Unlike the mean, the median is not distorted by a few unusually high or low values that may exist in the sample due to special circumstances. The “median” value represents the mid-point of the data for a particular measure, with one-half of the respondents reporting figures above it and one-half below. Each median was computed independently based on the companies that reported for that item. As a result, mathematical relationships do not always exist when different ratios are used together in the calculation.



Reported figures were not used unless they were in accordance with the survey instructions and definitions. In cases where the number of companies reporting was considered inadequate for the computation of a meaningful figure, blank spaces appear in the tables, or an insufficient data (*) notation is included.

Further insights into how to use this report are included in the Appendix section entitled: “Key Ratio Definitions.”

Using Ratios

While it is important to analyze financial information in dollars and cents, it is essential that percentages and ratios be used if the data are to be compared to past performance or to reported standards. For example, it is necessary to know your annual employee compensation expense, but it is even more essential to compare this expenditure with the value it produces. A useful measure of effectiveness is the ratio of net sales per employee. This metric can be useful in determining how efficiently your company uses its payroll dollars over time to produce revenue as compared to similar companies in general.

In addition, just as dollar figures are not overly meaningful by themselves; ratios should not be used in isolation. In combination they can provide an extremely accurate overall picture of financial performance and financial position. Financial performance refers to how well a facility performs over a period of time (generally one year) and financial position refers to financial strength at a given point in time.

The tables in this report include key ratios for comparing your company’s performance to norms experienced by other tag and label manufacturers in the following key areas: return on investment (profitability), profit margin management, liquidity, efficiency, value added ratios, capital structure, and productivity.

Summary and Conclusions

While the volume of information in this report may at first seem overwhelming, by following the approach outlined in the preceding pages, your time and efforts can be channeled into a very effective and beneficial analysis. To summarize:

Step 1— Gather all your financial, operating, and sales figures for your latest fiscal year.
(If you participated in this year's study, this has already been done for you.)

Step 2— Calculate the various performance measures for your company that are used in the report. Start with the "Key Performance Measures." (Again, if you participated in the survey, most of the calculations have already been made for you.)

Step 3— Determine which data comparisons in this report are most comparable to your company.

Step 4— Use the information in this report to analyze your company's strengths and weaknesses.

Even a relatively simple analysis of your company's own figures using the data for comparisons can yield important insights into your business. You do not need to be a financial expert to benefit from this information.

Understanding the Metrics

How the Tables are Organized

The “Key Performance Measures” included in this report provide key ratios for comparing a company’s performance to reported norms in each of three areas: profitability, productivity, and financial management. In using this report, it is important to prioritize time and effort by starting with the Key Performance Measures. As discrepancies are identified between a company’s performance measures and the reported norms, further investigation will be needed as to the reasons for these discrepancies.

Profitability

While there are several ways to look at profitability, the most useful are those that compare profits to some other quantity. Perhaps the most frequently cited is **net operating income**, or net profit as a percent of sales. This ratio measures the difference between a company’s net sales and what it spends over a period of time. It is highly dependent upon a company’s pricing policy and expense control. If gross profit (Net Sales minus Cost of Goods Sold) increases or expenses decrease as a percent of net sales, net operating income will rise. Some companies prefer to use income before taxes, since income tax in small business is often influenced by factors other than those involved in running the business. No matter which you prefer to use, net operating income is a good overall measure of how well gross margin and expenses are being controlled.

Perhaps the best measure of overall profitability is return on investment (ROI). The two most important measures of ROI are return on assets and return on equity. **Return on assets** is generally defined as annual profit before tax divided by end-of-year total assets. It is an excellent indicator of the return rate received, based on total assets employed in running the business.

While return on assets measures ROI from a business management standpoint, **return on equity** is the best measure of return to the owners of the business. It is typically defined as profit before tax to equity. Return on equity is the return rate owners receive, compared to the amount of equity that they are maintaining in the business.

Productivity

Productivity is simply the output produced compared with input expended. As a rule, the more output produced per labor hour, employee, dollar investment, or whatever the input, the more profitable a company can be. Companies need to always strive to improve the productivity of their principal assets—inventory, and personnel. However, in order to improve productivity, you first need to measure it.

Inventory productivity is best measured by **inventory turnover**, defined as the cost of goods sold divided by inventory. This ratio shows how rapidly inventory is moving. Inventory turnover is expressed as “annual turns.” Another way to look at inventory turnover is to convert it to “days” instead of “turns”. This is calculated by dividing 365 days by the inventory turnover value. Converting turnover to days allows a company to see how long it takes to clear its inventory.

Personnel productivity can be measured in numerous ways. The easiest and most commonly used methods are:

Net Sales per Employee—a good overall measure, but subject to distortion by inflation. Always use full-time equivalents for employee counts.

Compensation/Payroll Expense as a percent of Net Sales—complements the previous measure by adding the dimension of compensation levels instead of just number of employees. It is not distorted by inflation.

Asset turnover (net sales divided by total assets) presents a good overall indicator of total company productivity. The ratio tells us how many sales dollars are being generated by each dollar of assets employed in running the business. Similar to inventory turnover, another way to look at asset turnover is to convert it to “days” instead of “turns”. This is calculated by dividing 365 days by the asset turnover value.

Financial Management

There are two financial management issues that should be of primary importance to all tag and label manufacturers—liquidity and leverage.

Liquidity represents the short-term financial strength of the company. It is your ability to meet short-term obligations out of currently available funds. The most commonly used measure is the current ratio.

Current Ratio (current assets divided by current liabilities)—This measures the extent to which fairly liquid assets (all current assets) exceeds current debt.

Debt/Leverage Ratios measure the extent to which a company is financed by debt as opposed to the owners’ funds. One of the most significant ratios is debt to equity (total liabilities divided by net worth). This ratio measures the relative proportion of owners’ equity and debt.

Improving Performance Based on the Overall Performance Measures

It is important to remember that while the key performance measures are excellent “yardsticks” for gauging the success of your business, they must be understood, not just applied blindly. For instance, if the profitability of your company is far below the reported norm, it is important to know why. Is your business really suffering or is your profitability artificially low because you are paying high salaries? With this warning in mind, let us examine some of the key performance measures and some possible actions that can be taken if you deviate significantly from the reported average. The following are only guidelines for action and should not be considered to be specific recommendations.

Profitability

Net Operating Profit

- Too Low** Further investigation is warranted. Check to see if cost of goods sold is too high. If so, check costs by product type. Check all expense categories to see which need better control.
- Too High** It is difficult to imagine a situation where this presents a problem, but you should know why the net profit margin is so high.

Return on Assets

- Too Low** Either net sales or net income before taxes is too low to support your asset structure. Examination of net income before taxes value and asset turnover will tell which.
- Too High** No problem as a rule. You are effectively managing your business.

Return on Equity

- Too Low** If return on assets is sufficient, you may have more of your funds invested in the business than necessary.
- Too High** This is a very good situation unless the degree of debt/leverage is too high.

Productivity

Personnel Productivity

- Too Low** Low personnel productivity during normal business conditions may indicate the business is too “people heavy.” Consider decreasing staff size or generating more volume from existing personnel.
- Too High** No problem as a rule. May be artificially high if many functions are performed by outsiders not on the payroll.

Inventory Productivity

- Too Low** This could indicate either a lack of volume or an overstocked condition. Investigate by product type.
- Too High** Excessively high inventory productivity generally means too little inventory is available and may result in shortages.

Accounts Receivables (in days)

- Too Low** Usually is preferred, unless credit policies are too restrictive and thus result in lost sales.
- Too High** May mean a poorly organized and managed receivables management system.

Total Asset Productivity

- Too Low** Low asset turnover can signal a need for more attention to the productivity of the areas previously described.
- Too High** Asset turnover, which is significantly in excess of the reported norm, might be caused by the absence of owned fixed assets or the lack of any significant amount of receivables. Check your percentage balance sheet with the composite for your sales volume category.

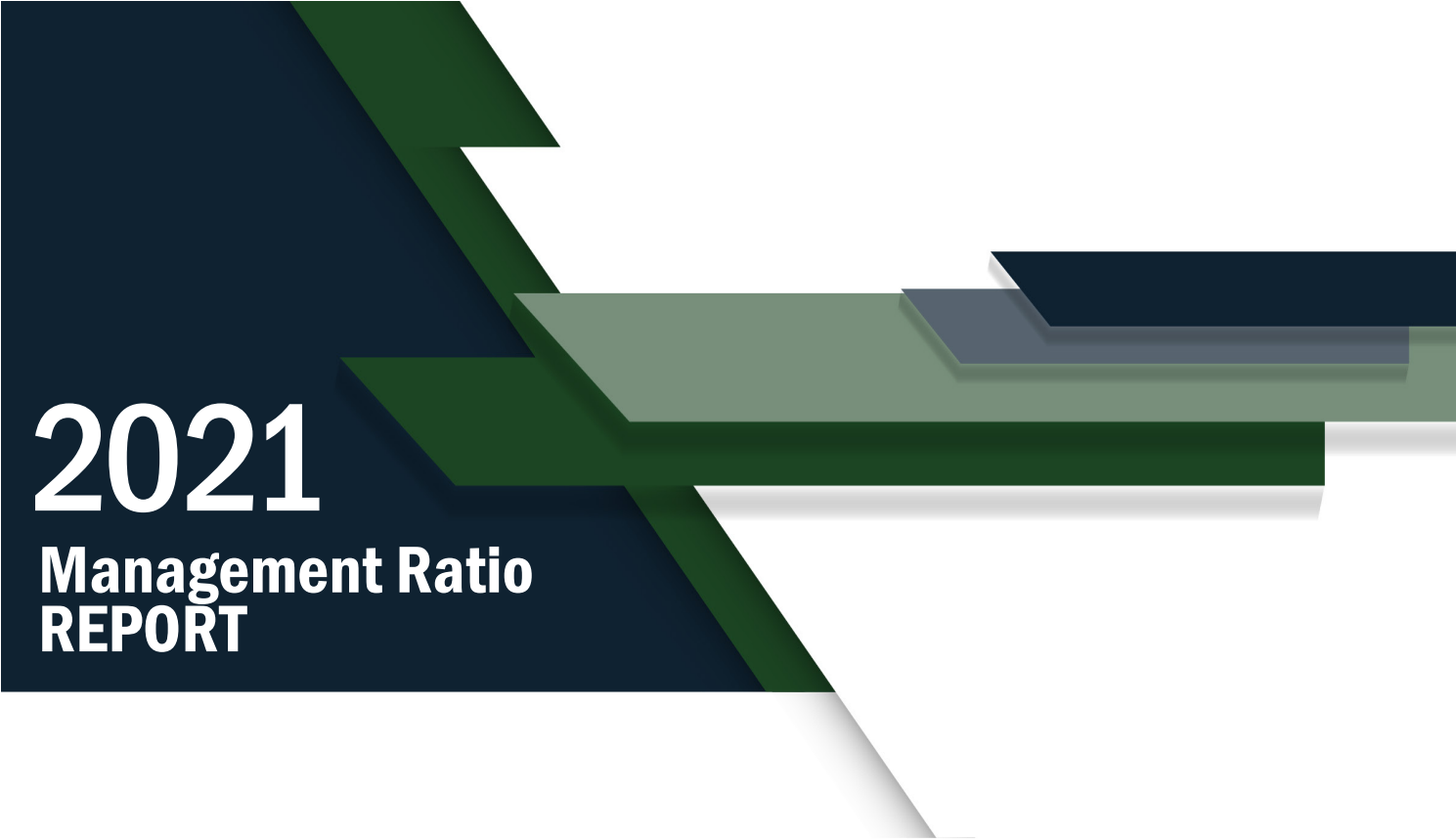
Financial Management

Liquidity

- Too Low** If the current ratio is too low, it is possible you are operating with insufficient liquid capital. This can be dangerous if business takes a turn for the worse or a loan payment becomes due unexpectedly. Liquidity can be increased by using more long-term financing and/or by leaving more profits in the business.
- Too High** If liquidity is exceptionally high, it is possibly a sign of excess inventories and receivables. Check productivity ratios for these items. Otherwise, this is no reason for concern.

Debt/Leverage

- Too Low** You have excess capacity for debt should it become necessary to borrow. Although some owners do not like borrowing any more than absolutely necessary, additional debt will increase overall profitability as long as the business can earn a before tax return which exceeds the borrowing rate.
- Too High** This will severely curtail your ability to attract new borrowed funds. In addition, interest charges could be strongly affecting profitability. Try to retain more profits in the business or attract new sources of equity if you wish to lower leverage.



2021

**Management Ratio
REPORT**

Executive Summary

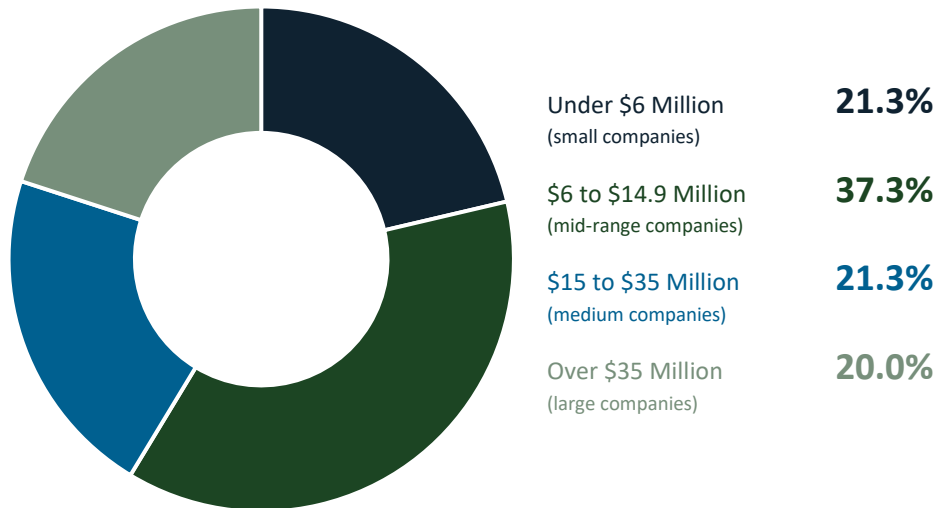


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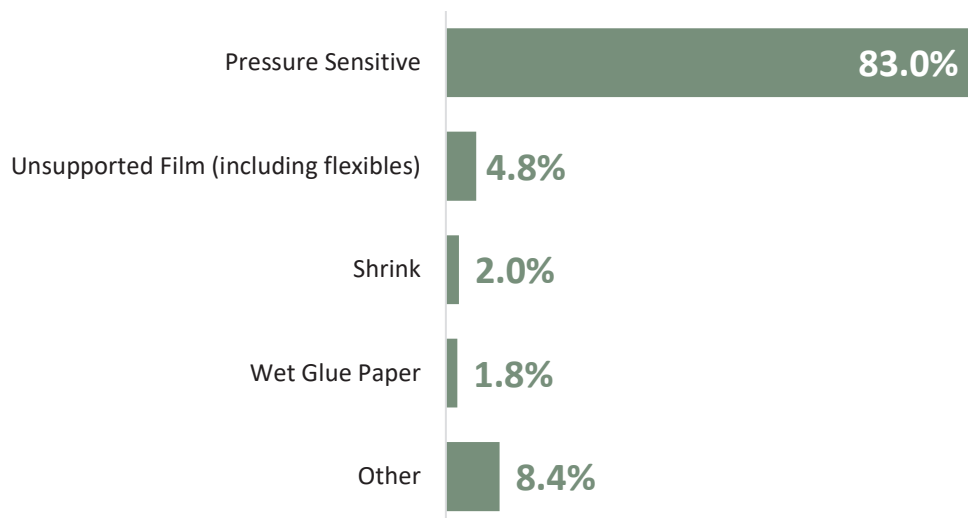
Respondent Profile

NET SALES (% OF ALL RESPONDENTS)

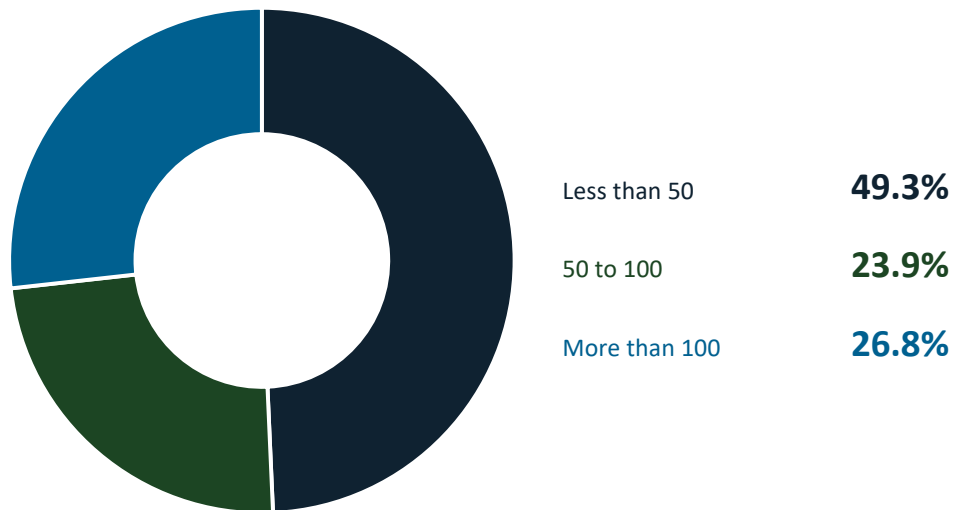
Average: \$36,000,000* Median: \$11,588,000*
*Rounded to the nearest thousand dollars



PERCENT OF PRODUCTION IN: (ALL RESPONDENTS)



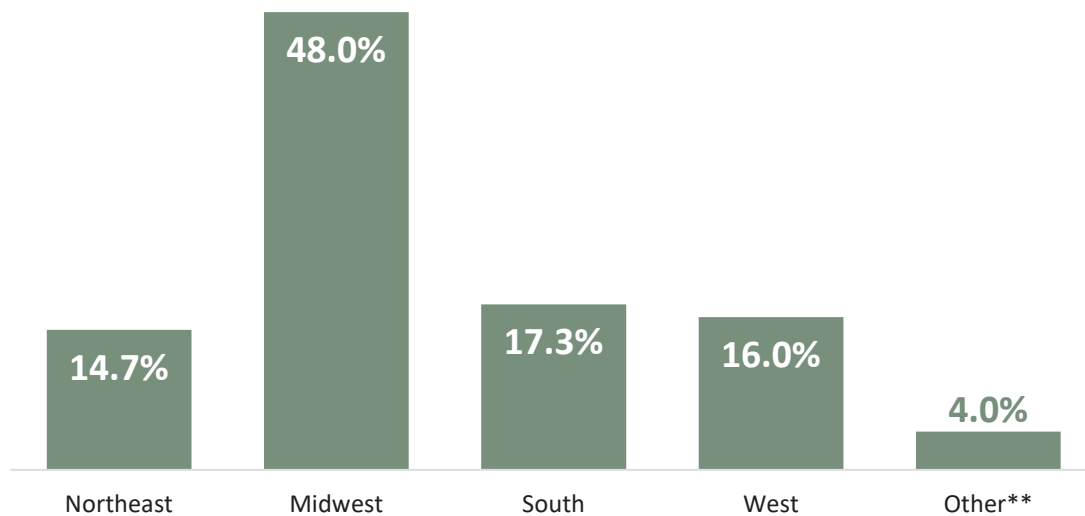
NUMBER OF FULL-TIME EQUIVALENT EMPLOYEES (% OF ALL RESPONDENTS)



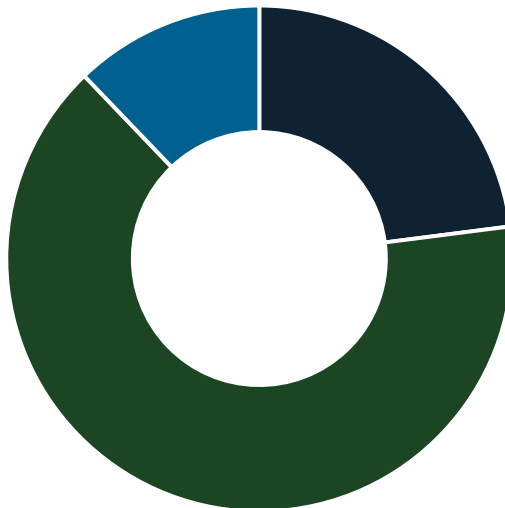
GEOGRAPHIC REGION* (% OF ALL RESPONDENTS)

**A list of states in each region is available in the Appendix of this report.*

***Includes all non-U.S. respondents*



INCOME TAX STATUS (% OF ALL RESPONDENTS)



Regular corporation **23.0%**

S corporation **64.9%**

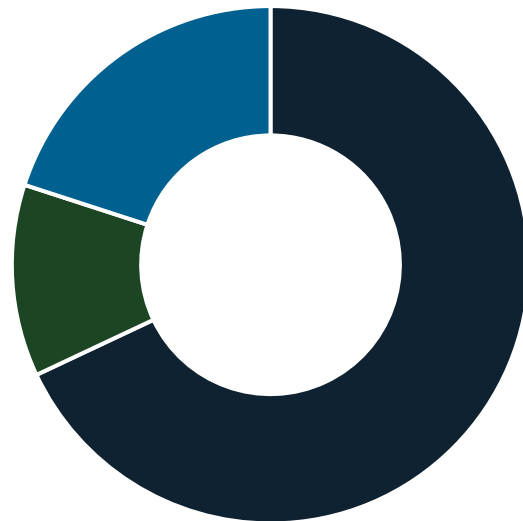
Partnership **12.2%**

REPORTING ENTITY (% OF ALL RESPONDENTS)

Single division company **68.0%**

Single division of multiple
division company **12.0%**

Consolidated multiple
division company **20.0%**



RECEIVED COVID RELIEF FUNDS (PPP, GOVERNMENT GRANTS, ETC.)



Yes **58.7%**

No **41.3%**

COVID Relief Funds Adjustment

The COVID-19 pandemic continued to impact fiscal year 2021, albeit considerably less of an impact than it had on fiscal year 2020. The Paycheck Protection Program (PPP) and other COVID relief funding mechanisms provided monetary relief for those companies that applied for, and received, funds from the programs. The data in this report primarily shows financial and operating data based on the inclusion of these COVID relief funds. The results treat COVID relief funds as “other operating revenue”. For those wishing to see how the key profitability ratios are calculated when excluding COVID relief funds, a comparison of both set of metrics is shown below.

COVID RELIEF FUNDS INCLUDED					
	All Firms	Under \$6 Million	\$6 to \$14.9 Million	\$15 to \$35 Million	Over \$35 Million
PROFITABILITY					
Net income before taxes as a % of sales	11.2%	11.5%	12.7%	9.4%	8.8%
EBITDA as a % of sales	15.1%	14.7%	17.3%	14.3%	16.4%
Operating profit as a % of sales*	9.7%	12.0%	11.1%	8.9%	16.4%
Return on assets	21.7%	22.1%	26.2%	18.4%	10.8%
Return on equity	37.2%	34.7%	50.9%	36.7%	25.8%
SUMMARY INCOME STATEMENT (as a percent of net sales)					
Net Sales	100.0%	100.0%	100.0%	100.0%	100.0%
Cost of Goods Sold	71.0%	68.8%	70.3%	72.1%	73.5%
Gross profit	29.0%	31.2%	29.7%	27.9%	26.5%
COVID Relief Funds (PPP loans)	1.6%	0.8%	2.0%	3.0%	0.2%
Other operating revenue	0.3%	0.1%	0.4%	0.1%	0.4%
Selling and administrative expenses	17.8%	18.0%	19.5%	19.5%	12.6%
Interest expense (income)	1.0%	0.4%	0.6%	0.4%	2.9%
Other expense (income)	0.2%	-0.2%	-0.6%	0.2%	1.8%
Net operating income	11.9%	13.9%	12.6%	10.8%	9.8%
COVID RELIEF FUNDS EXCLUDED					
	All Firms	Under \$6 Million	\$6 to \$14.9 Million	\$15 to \$35 Million	Over \$35 Million
PROFITABILITY					
Net income before taxes as a % of sales	9.2%	11.5%	12.3%	8.5%	8.8%
EBITDA as a % of sales	14.4%	14.7%	15.4%	12.0%	16.4%
Operating profit as a % of sales*	9.7%	12.0%	11.1%	8.9%	16.4%
Return on assets	17.8%	18.7%	21.7%	14.7%	10.8%
Return on equity	31.1%	34.7%	37.5%	26.9%	25.8%
SUMMARY INCOME STATEMENT (as a percent of net sales)					
Net Sales	100.0%	100.0%	100.0%	100.0%	100.0%
Cost of Goods Sold	71.0%	68.8%	70.3%	72.1%	73.5%
Gross profit	29.0%	31.2%	29.7%	27.9%	26.5%
COVID Relief Funds (PPP loans)					
Other operating revenue	0.3%	0.1%	0.4%	0.1%	0.4%
Selling and administrative expenses	17.8%	18.0%	19.5%	19.5%	12.6%
Interest expense (income)	1.0%	0.4%	0.6%	0.4%	2.9%
Other expense (income)	0.2%	-0.2%	-0.6%	0.2%	1.8%
Net operating income	10.3%	13.1%	10.6%	7.8%	9.6%

*Does not include non-sales revenue items (e.g. PPP loans, other operating revenue)

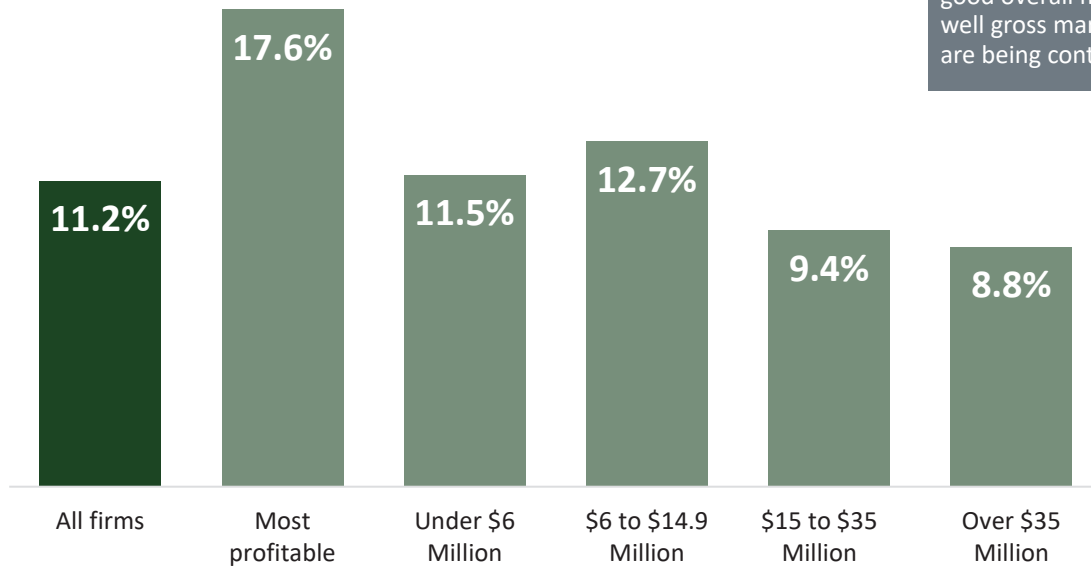
Overall Profitability

NET INCOME BEFORE TAXES

The typical* respondent experienced a net income before taxes of 11.2% in 2021. The most profitable companies, as expected, reported higher profits with a net income before taxes of 17.6%.

** Throughout this report, the term “typical” indicates the median response.*

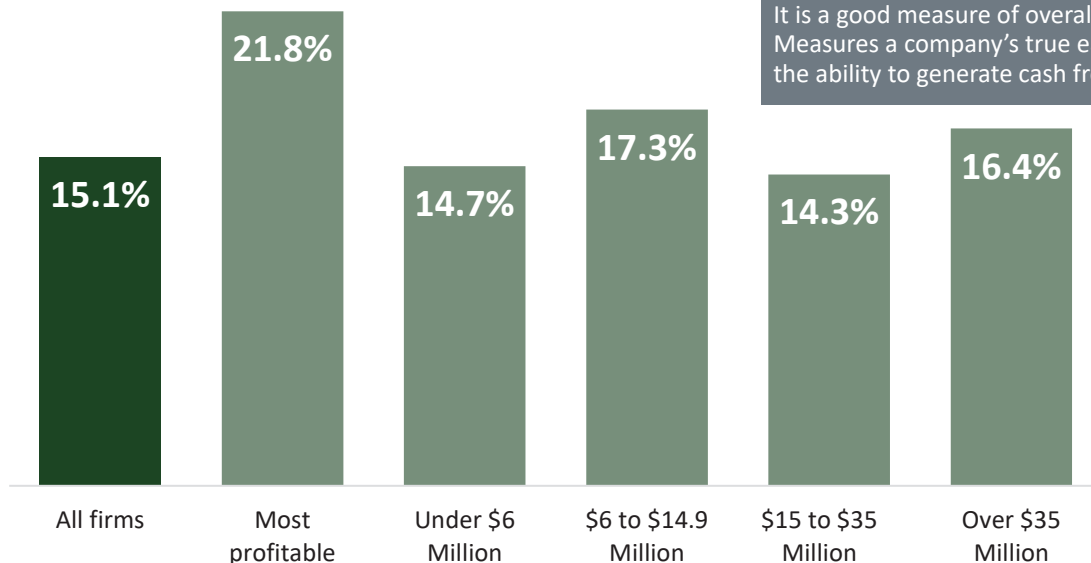
Net Income Before Taxes— A good overall measure of how well gross margin and expenses are being controlled.



EBITDA

EBITDA is a profitability ratio and is defined as earnings before interest, taxes, depreciation and amortization. This metric eliminates “non-operating” expenses to generate a measure that focuses more on the profitability of actual operations than net income. The typical respondent reported an EBITDA of 15.1% in 2021 and the most profitable companies experienced an EBITDA of 21.8%.

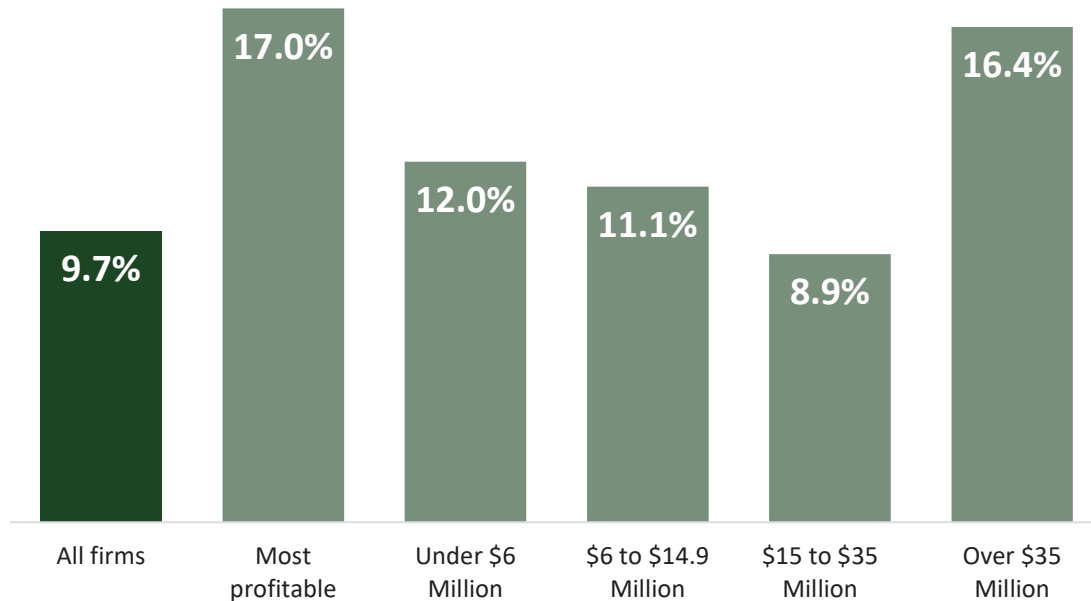
EBITDA—EBITDA stands for earnings before interest, taxes, depreciation and amortization. It is a good measure of overall profitability. Measures a company’s true earning power – the ability to generate cash from its operations.



OPERATING PROFIT AS A % OF SALES

Another important measure of profitability is operating profit as a percentage of net sales. This measure eliminates selling and G&A expenses, as well as non-operating expenses and revenue from the calculation. The typical respondent reported operating profits of 9.7% while the most profitable companies experienced operating profits of 17.0% in 2021.
Note - this metric is not impacted by PPP loan adjustments.

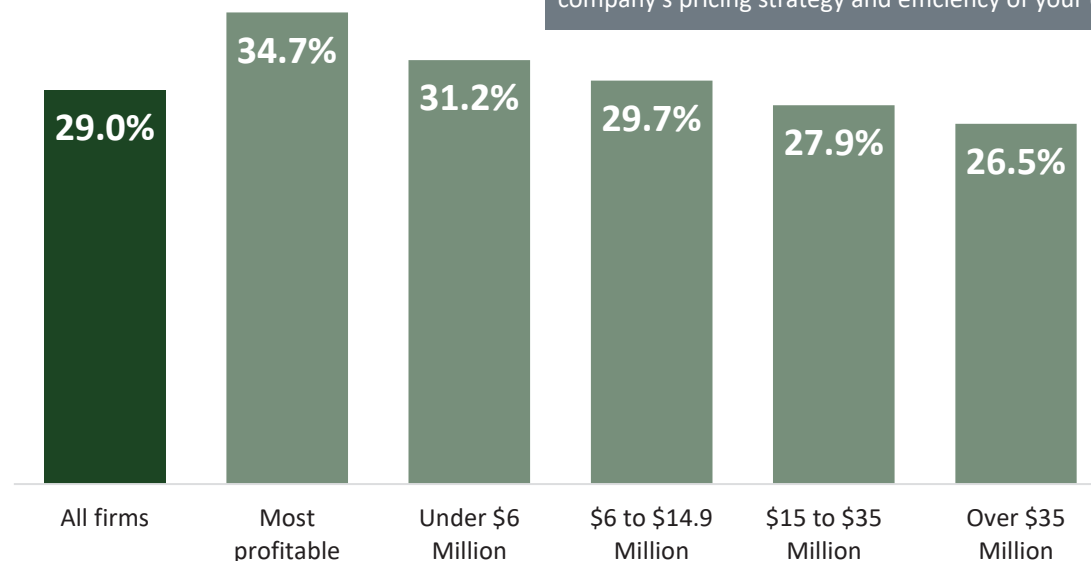
Operating Profit—A good overall measure of the true profits from operations. This measure excludes interest and other expenses that are not directly tied to the operations of the business.



GROSS PROFIT

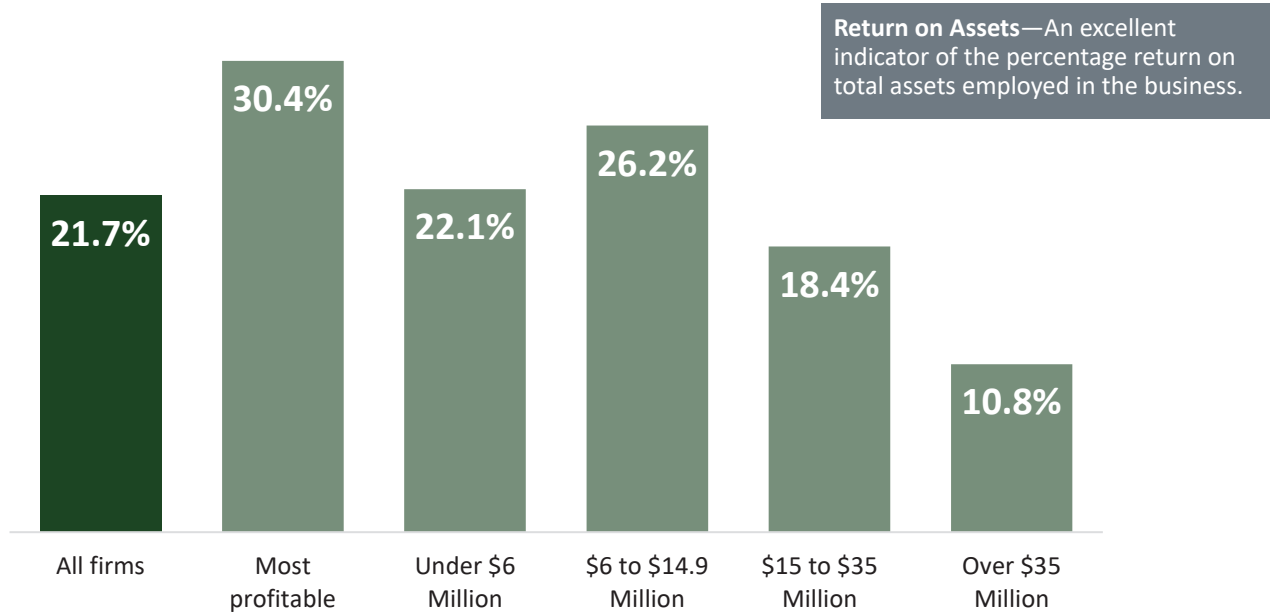
In 2021 the typical respondent reported a gross profit of 29.0%, while the most profitable companies had a gross profit 5.7 percentage points higher (34.7%). The smallest sized companies (in terms of net sales) reported the highest margin of all the sales groupings (31.2%) while the largest sales group reported the lowest gross profit (26.5%).

Gross Profit—Measures profitability after the costs of making or buying the product is subtracted from sales and other income generating activities. It is a useful ratio to measure your company's pricing strategy and efficiency of your operations.



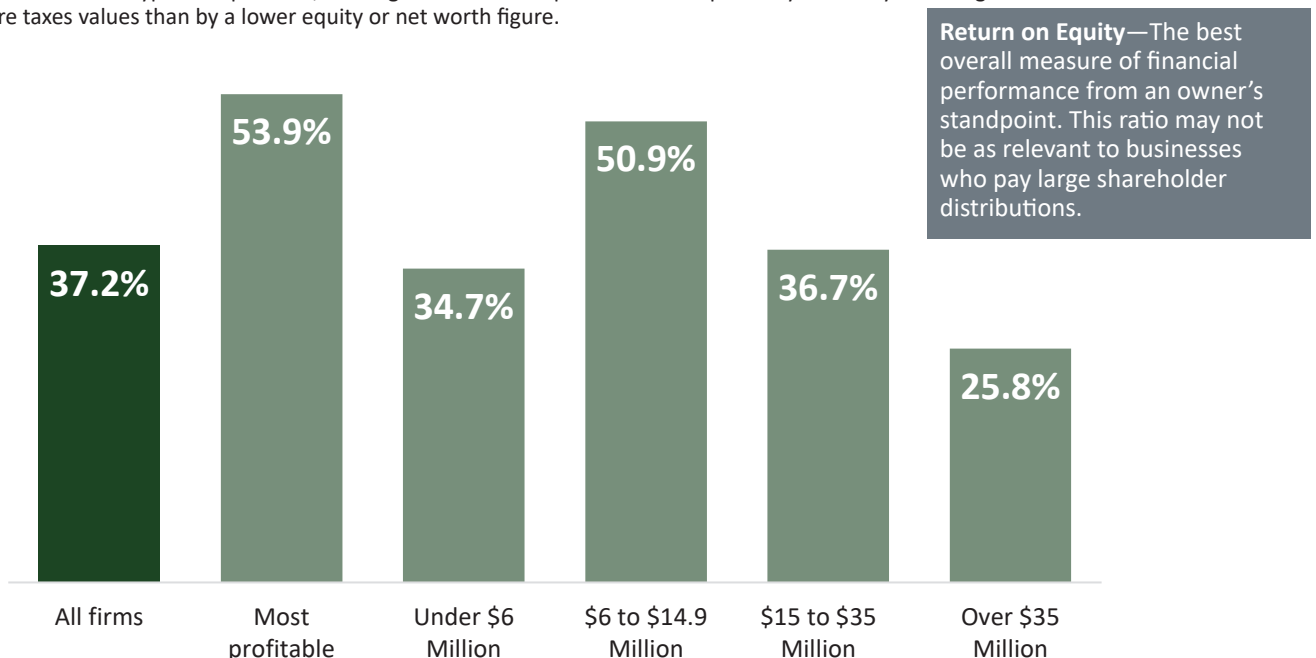
RETURN ON ASSETS

The typical respondent's return on assets performance during 2021 was 21.7% for the year. The most profitable companies experienced a 30.4% return. The mid-range sized companies, based on dollars of net sales, reported the highest return on assets figure (26.2%) of the four sales groupings.



RETURN ON EQUITY

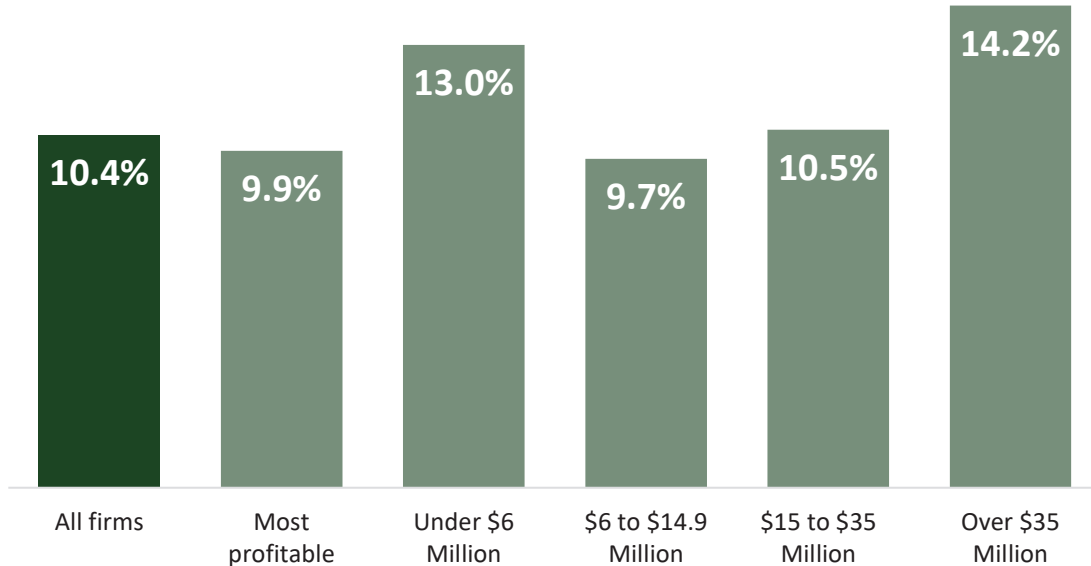
The typical respondent experienced a 37.2% return on equity during 2021, while the most profitable companies reported 53.9%. Versus the typical respondent, the larger value for the profit leaders is primarily driven by their larger net income before taxes values than by a lower equity or net worth figure.



SALES GROWTH

During 2021, 75% of all companies reported positive sales growth for the year. The typical company reported an increase of 10.4%, and the most profitable companies reported strong growth of 9.9%. This reinforces an important point. While sales growth is often the driving force for a company's ability to achieve profits, it is not the only component. Cost management is an equally critical component for achieving higher profitability. *Note - this metric is not impacted by PPP loan adjustments, but rather, is calculated solely based on net sales dollars.*

Sales Growth—The increase in net sales from one period over another. It is calculated by determining the difference of current year net sales and prior year net sales and dividing that value by prior year net sales.



Financial Statements Overview

The following tables summarize the key income statement findings of this year's report. An important finding of this TLMI study is that respondents that were the most profitable in 2021 derived almost the entirety of their profitability advantage from lower cost of goods sold (a 5.7 percentage point advantage over the typical respondent). Interestingly, the most profitable companies reported slightly higher selling and administrative expenses than the typical respondent (18.5% vs. 17.8%). Additionally, the most profitable firms had a larger impact from COVID relief funds (2.2% vs. 1.6%).

KEY INCOME STATEMENT ITEMS AS A PERCENT OF NET SALES*						
			Net Sales			
	All Firms	Most Profitable	Under \$6 Million	\$6 to \$14.9 Million	\$15 to \$35 Million	Over \$35 Million
Net Sales	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%
Cost of Goods Sold	71.0%	65.3%	68.8%	70.3%	72.1%	73.5%
Gross Profit	29.0%	34.7%	31.2%	29.7%	27.9%	26.5%
COVID Relief Funds (PPP loans)	1.6%	2.2%	0.8%	2.0%	3.0%	0.2%
Other Operating Revenue	0.3%	0.1%	0.1%	0.4%	0.1%	0.4%
Selling and Administrative Expenses	17.8%	18.5%	18.0%	19.5%	19.5%	12.6%
Interest Expense (income)	1.0%	0.9%	0.4%	0.6%	0.4%	2.9%
Other Expense (income)	0.2%	-0.4%	-0.2%	-0.6%	0.2%	1.8%
Net Operating Income	11.9%	18.0%	13.9%	12.6%	10.8%	9.8%

* Some items may not total due to rounding.

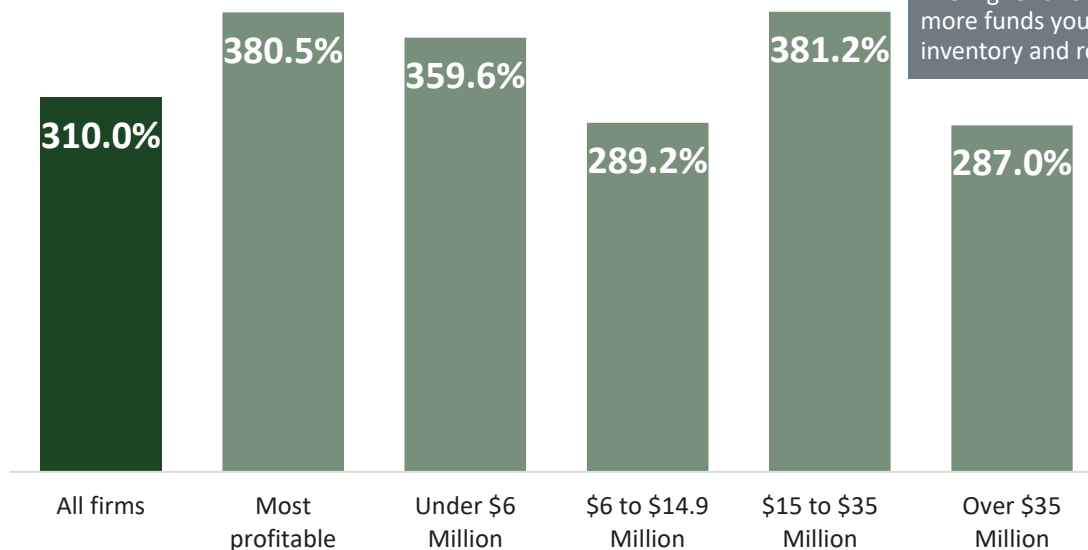
Other Important Performance Measures

While expense management and bottom line profits are key components of overall profitability, effective cash flow management is especially important. The timing of payables and receivables is an essential ingredient in maintaining a successful business. The number of days it takes to “turn” inventory, net sales per employee, and total compensation expense are key factors as well.

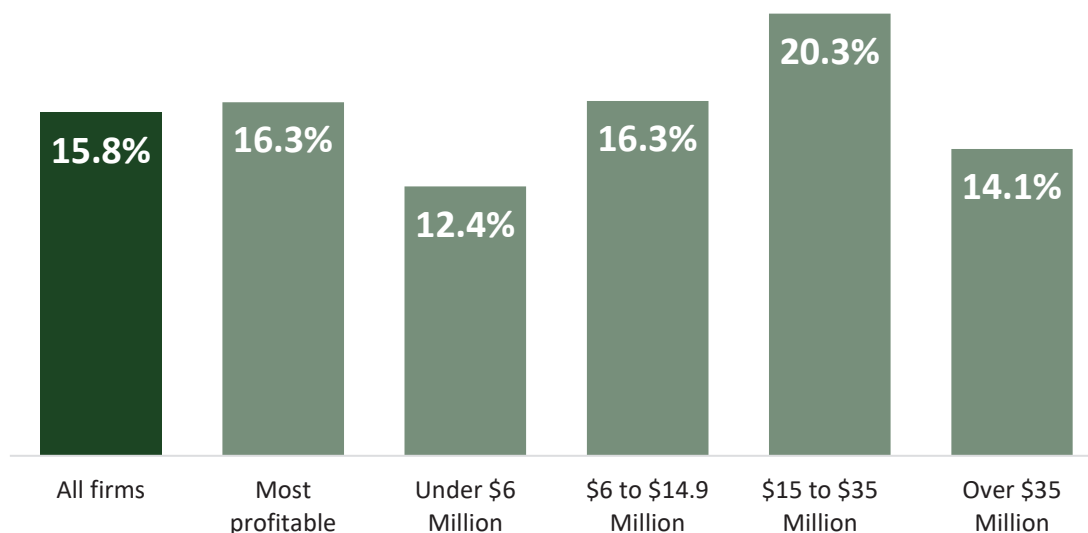
CURRENT ASSETS TO CURRENT LIABILITIES

Liquidity represents the short-term financial strength of an organization. It is a company’s ability to meet short-term obligations out of currently available funds. The most commonly used measure of liquidity is current assets to current liabilities, also called the current ratio. As shown below, the most profitable companies were more liquid than the typical respondent.

Current Assets to Current Liabilities—Also known as the current ratio, this metric measures the degree to which a company has invested in “working” assets. The higher this percentage, the more funds you will have to finance inventory and receivables.

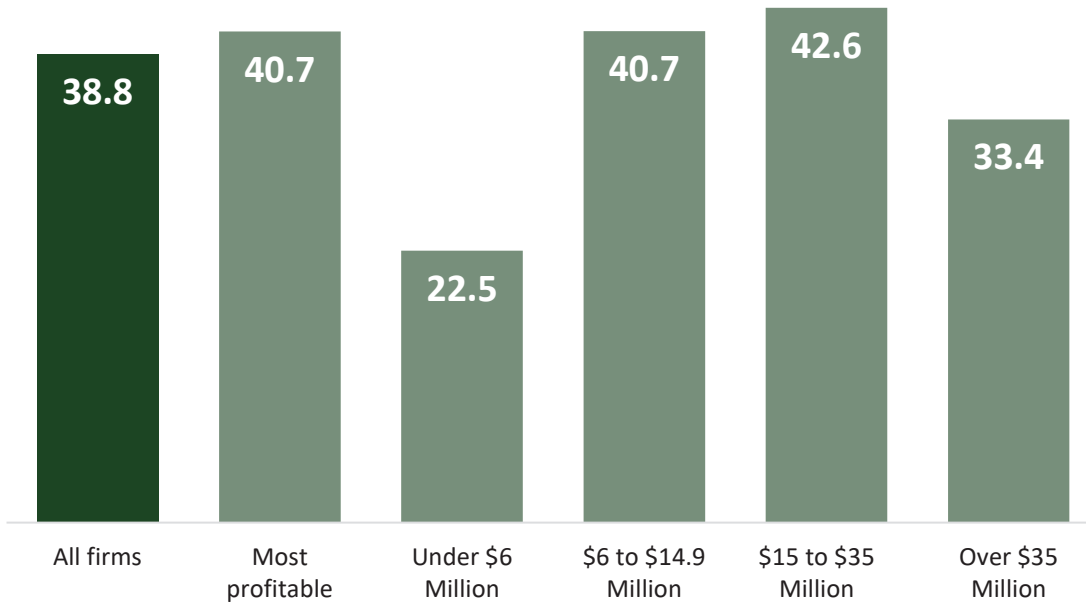


WORKING CAPITAL AS A % OF SALES



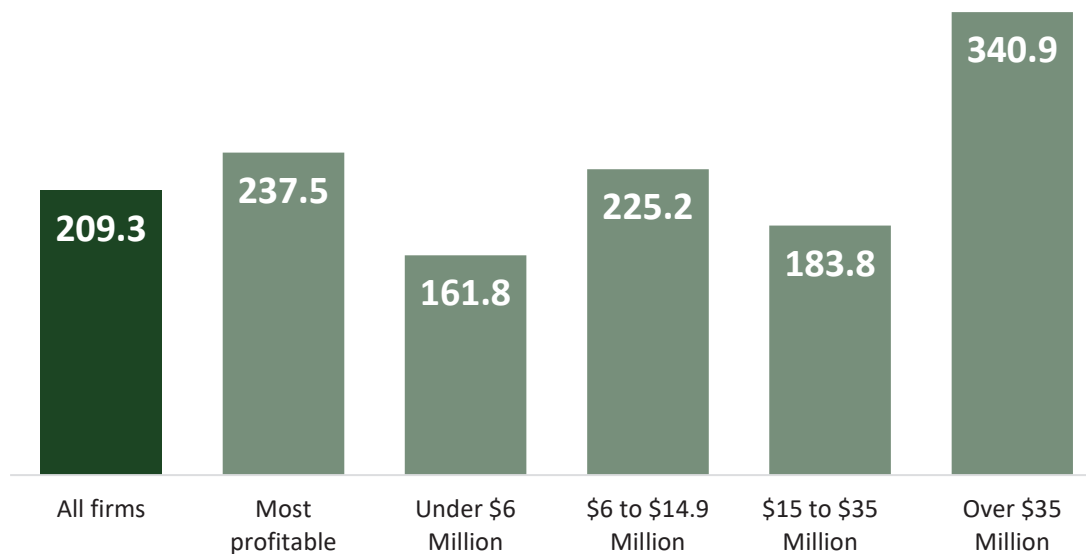
Working Capital—Measures the degree to which a company has invested in “working” assets. The higher this percentage, the more funds you will have to finance inventory and receivables.

INVENTORY TURN IN DAYS



Inventory Turns in Days—Reflects the number of days it takes to sell inventory.

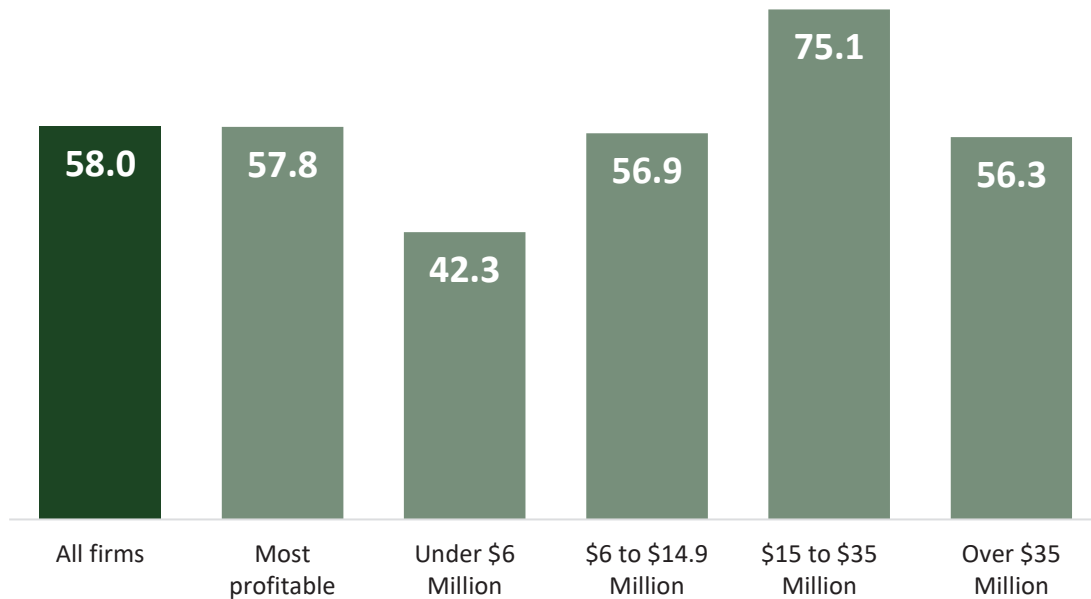
ASSET TURNS IN DAYS



Asset Turnover in Days—Indicates the turnover rate (in days) of total assets to achieve net sales. When viewed historically, this ratio indicates the effectiveness of generating sales from asset expansion.

CASH CYCLE IN DAYS

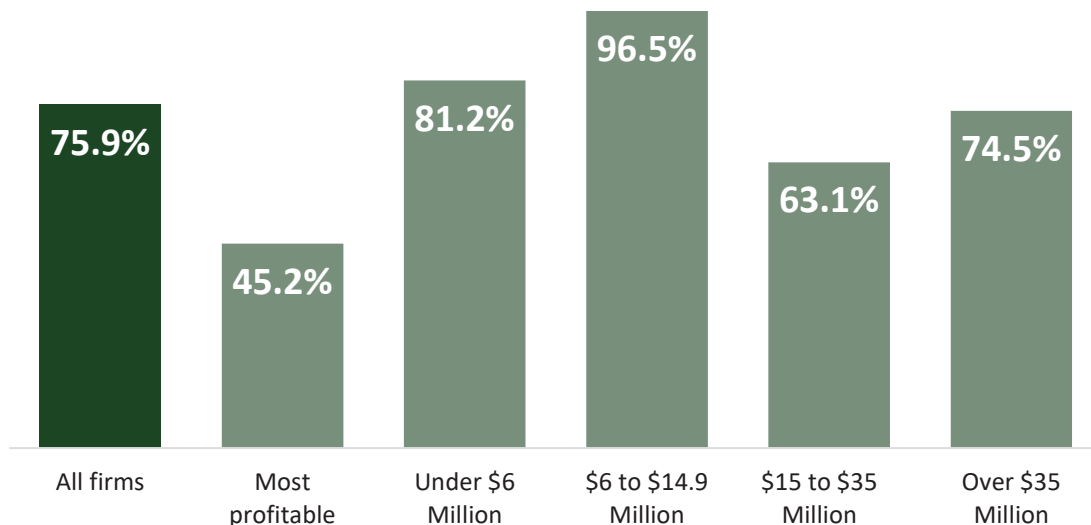
Overall, respondents reported a cash cycle of 58.0 days in 2021. Additionally, as companies' net sales volume increased their cash cycles also increased, with the exception of the largest companies that had a shorter cash cycle than the medium sized respondents



Cash Cycle—
 The cash conversion cycle is a liquidity ratio which is a good measure of overall cash management from receivables, payables and inventory controls.

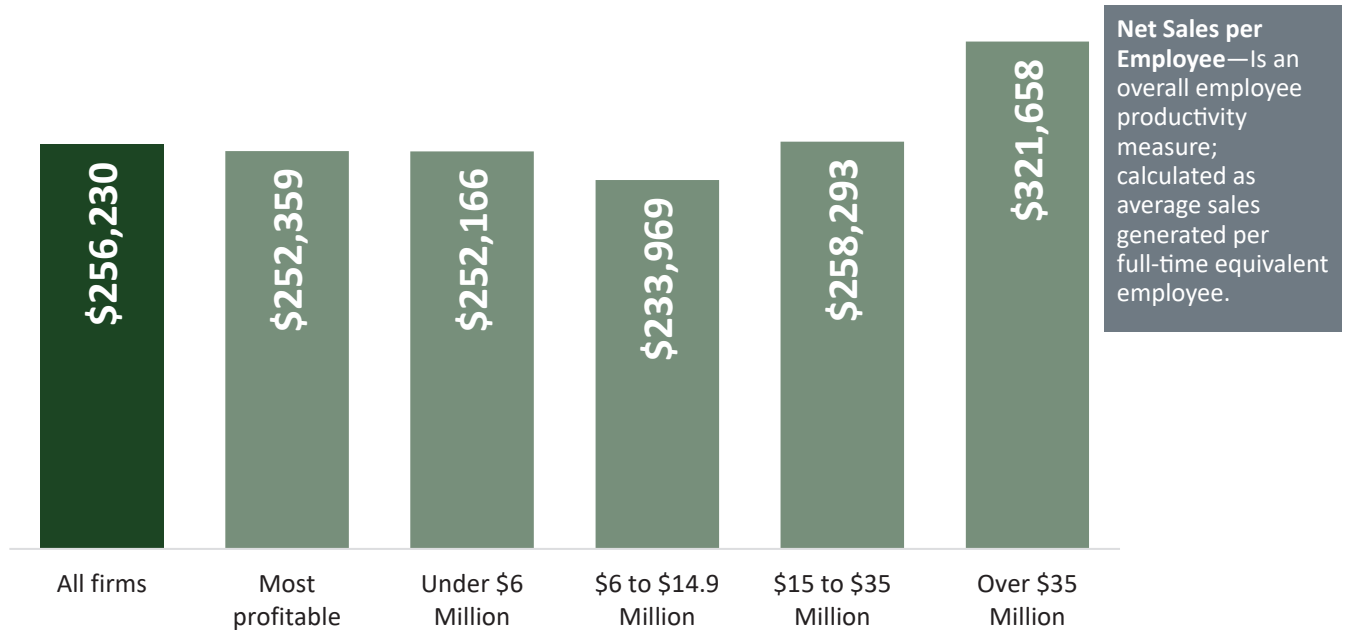
DEBT TO EQUITY

Debt to Equity—A good overall measure of financial leverage. Leverage is the extent to which a company is financed by debt as opposed to the owner's funds, and the higher the ratio, the higher the leverage.

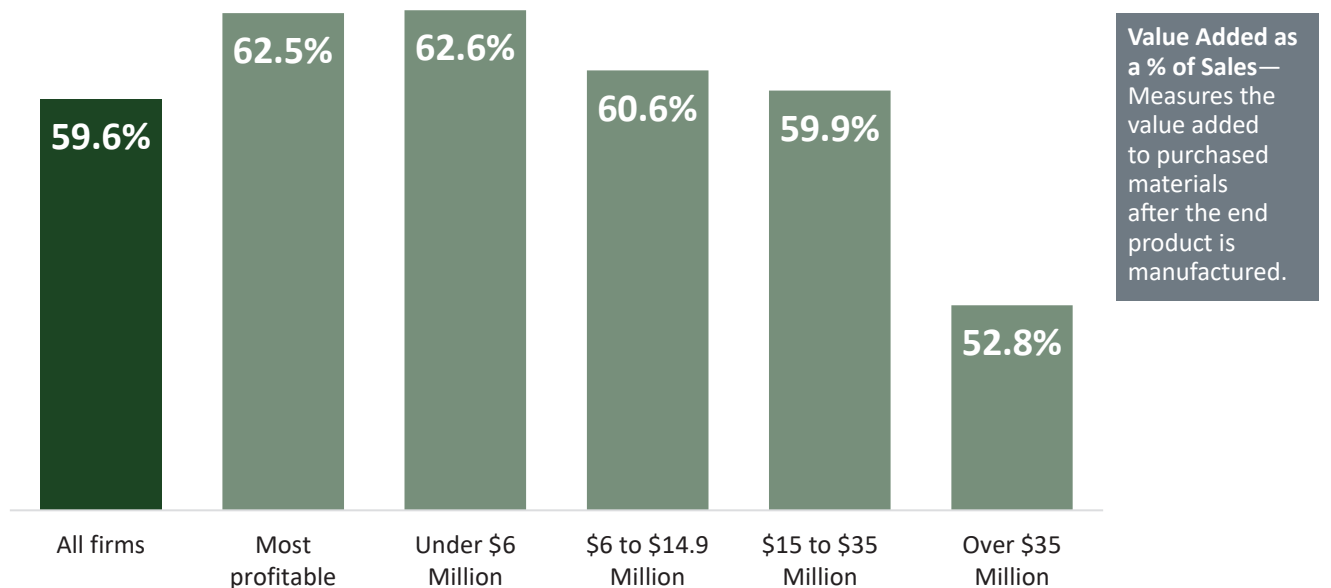


NET SALES PER EMPLOYEE

One of the most important productivity measures for any company to monitor is net sales per employee. As shown, the typical respondent generated \$256,230 per full-time equivalent employee. Typically, as sales increase, so to does net sales per employee.



VALUE ADDED AS A % OF SALES

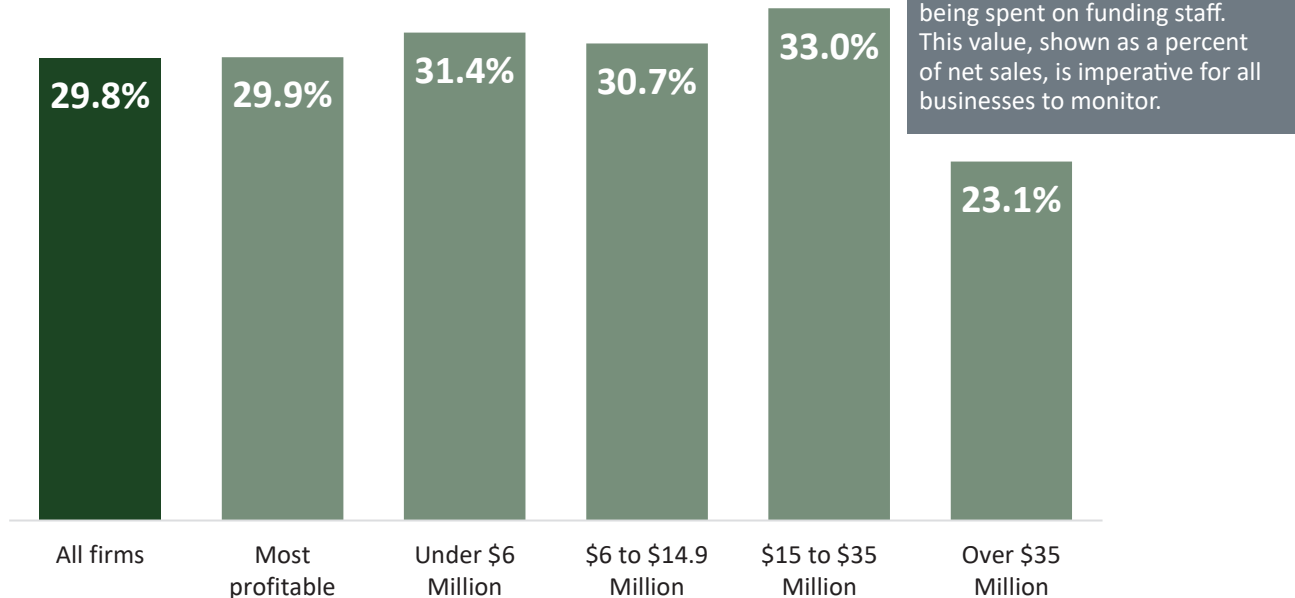


VALUE ADDED PER EMPLOYEE



TOTAL COMPENSATION EXPENSE

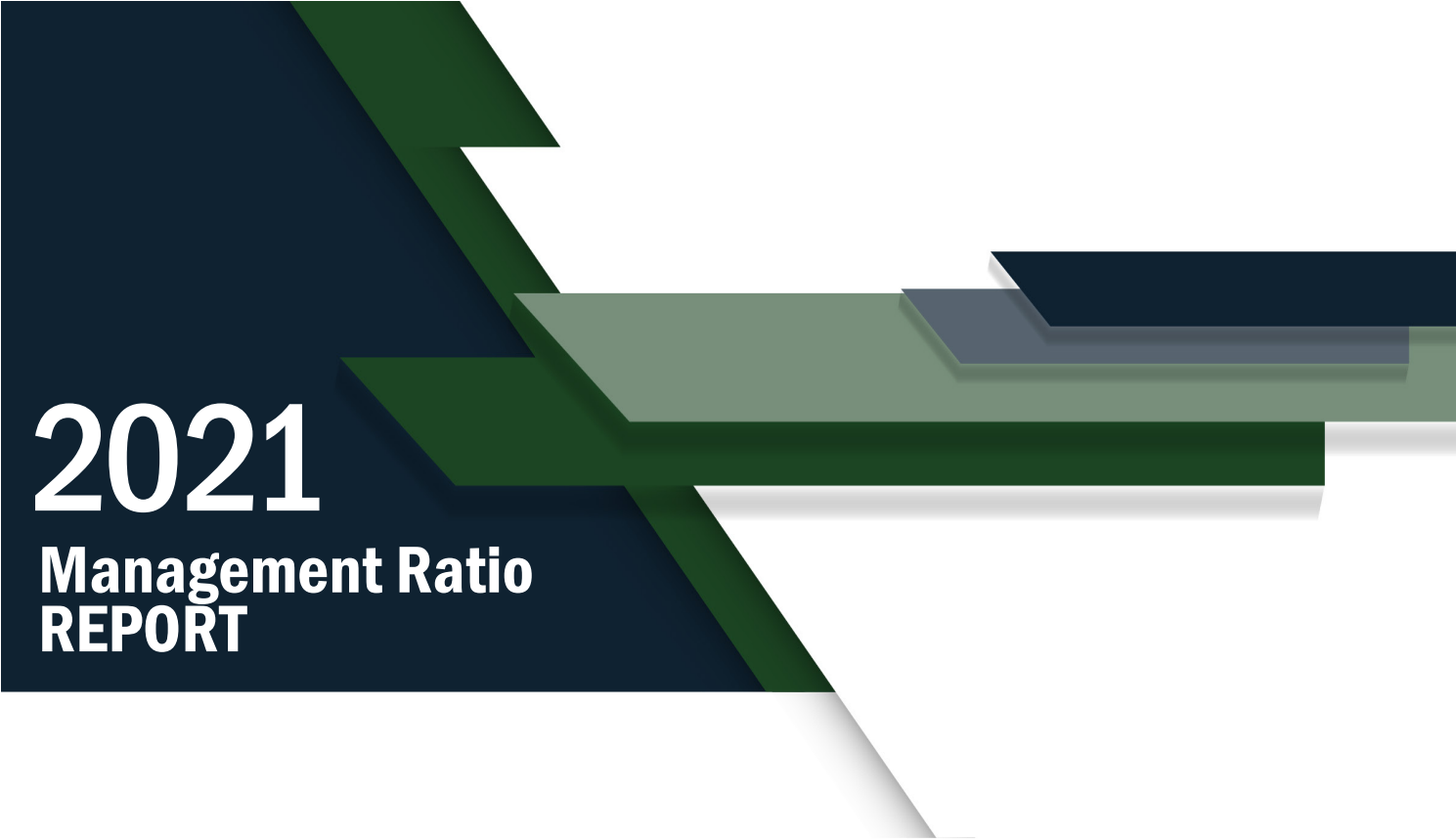
Total compensation expense is by far the largest expense category outside of materials cost. For the typical respondent, 29.8% of company sales went towards compensating employees, while the most profitable companies spent slightly more at 29.9% of sales on compensation. The largest companies, in terms of net sales, reported significantly lower compensation expense of any of the sales groupings (23.1%). This is often a direct result of more significant investments in equipment and economies of scale achieved from the size of their operations.



Multi-Year Trend Comparison

While a single year of results are certainly useful benchmarks for evaluating your own company's performance versus industry peers, an equally important component of the study is to monitor year-to-year trends. Please keep in mind, as you review this section, that respondents vary from year-to-year and the results are not necessarily indicative of a true "apples-to-apples" comparison. Although the trend data shown below may not be derived from identical sets of companies for each year, significant trends can still be observed.

Multi-Year Trend Comparison	Fiscal Year						
	2015	2016	2017	2018	2019	2020	2021
Net Income Before Taxes	8.6%	6.7%	7.5%	8.3%	7.9%	12.3%	11.2%
EBITDA	11.2%	10.8%	12.0%	11.8%	11.5%	17.3%	15.1%
Gross Profit	27.7%	27.1%	27.0%	26.8%	27.6%	29.5%	29.0%
Return on Assets	16.7%	15.4%	13.2%	14.8%	13.4%	23.4%	21.7%
Return on Equity	32.4%	27.6%	29.2%	26.7%	25.8%	48.8%	37.2%
Sales Growth	5.6%	2.3%	3.5%	6.0%	4.4%	9.4%	10.4%
Selling & Administrative Expenses	18.9%	18.2%	18.1%	17.7%	18.3%	19.0%	17.8%
Total Compensation Expenses	29.9%	29.5%	30.0%	29.4%	30.1%	31.2%	29.8%
Debt to Equity	90.7%	80.2%	77.0%	63.8%	67.5%	62.9%	75.9%



2021

**Management Ratio
REPORT**

Detailed Tables



TLMI

		NET SALES			
	All Firms	Under \$6 Million	\$6 to \$14.9 Million	\$15 to \$35 Million	Over \$35 Million
KEY PERFORMANCE MEASURES					
SALES					
Average net sales	\$35,999,535	\$3,754,139	\$9,600,861	\$23,580,809	\$132,918,792
Median net sales	\$11,587,614	\$3,655,914	\$8,807,920	\$22,704,893	\$99,069,519
PROFITABILITY					
Net income before taxes as a % of sales	11.2%	11.5%	12.7%	9.4%	8.8%
EBITDA as a % of sales	15.1%	14.7%	17.3%	14.3%	16.4%
Operating profit as a % of sales	9.7%	12.0%	11.1%	8.9%	16.4%
Return on assets	21.7%	22.1%	26.2%	18.4%	10.8%
Return on equity	37.2%	34.7%	50.9%	36.7%	25.8%
LIQUIDITY					
Current assets to current liabilities	310.0%	359.6%	289.2%	381.2%	287.0%
Current assets to total assets	62.0%	64.7%	60.1%	66.8%	42.8%
Working capital as a % of sales	15.8%	12.4%	16.3%	20.3%	14.1%
EFFICIENCY					
Accts receivables in days	38.6	34.7	36.0	43.0	38.8
Accts payables in days	18.3	13.9	25.0	19.3	14.1
Inventory turns in days	38.8	22.5	40.7	42.6	33.4
Cash cycle in days	58.0	42.3	56.9	75.1	56.3
Debt service ratio	3.4	7.9	3.2	3.8	0.9
Gross profit return on inventory	\$3.99	\$7.61	\$4.55	\$2.79	\$3.62
Asset turns in days	209.3	161.8	225.2	183.8	340.9
VALUE ADDED RATIOS					
Value added as a % of sales	59.6%	62.6%	60.6%	59.9%	52.8%
Net income before taxes as a % of value added	20.2%	15.9%	23.5%	18.7%	18.9%
Value added per employee	\$142,269	\$152,365	\$141,960	\$138,803	\$162,153
CAPITAL STRUCTURE					
Debt to equity	75.9%	81.2%	96.5%	63.1%	74.5%
Equity to total assets	55.2%	55.2%	45.5%	56.4%	57.3%
GROWTH TRENDS					
Sales change	10.4%	13.0%	9.7%	10.5%	14.2%
Gross profit change	9.1%	7.7%	7.9%	3.9%	11.8%
Employment change	2.8%	0.0%	0.0%	5.5%	6.9%
Investment change	23.4%	38.1%	8.4%	22.2%	32.1%

		NET SALES			
	All Firms	Under \$6 Million	\$6 to \$14.9 Million	\$15 to \$35 Million	Over \$35 Million
PRODUCTIVITY					
Typical number of full-time equivalent employees	50	16	38	84	348
Net sales per employee	\$256,230	\$252,166	\$233,969	\$258,293	\$321,658
Press utilization	71%	72%	71%	65%	67%
OTHER					
Health insurance premiums as a % of sales	1.8%	1.1%	2.0%	2.5%	1.5%
SALES AND COST OF GOODS SOLD (percent of net sales)					
Net Sales (All products)	100.0%	100.0%	100.0%	100.0%	100.0%
Base papers	31.1%	26.2%	29.9%	33.2%	36.3%
Inks and varnishes	2.6%	2.0%	2.8%	2.7%	2.8%
Plates, dies, screens, etc.	1.9%	2.7%	1.8%	1.5%	1.4%
Packaging materials	0.9%	0.8%	0.9%	0.7%	1.3%
All other materials	1.8%	3.7%	1.4%	1.0%	1.4%
Cost of goods purchased for resale	2.4%	2.9%	2.1%	1.5%	3.5%
TOTAL MATERIAL COSTS	40.7%	38.1%	38.8%	40.6%	46.7%
Direct factory payroll	10.5%	11.6%	10.0%	11.7%	9.2%
Indirect payroll	4.1%	3.5%	4.4%	4.6%	3.5%
Payroll taxes	1.1%	1.5%	1.0%	1.2%	0.9%
Employee benefits	1.9%	2.2%	1.7%	1.9%	1.9%
TOTAL LABOR COSTS	17.7%	18.7%	17.1%	19.5%	15.5%
Rent and depreciation	1.9%	2.6%	2.2%	1.4%	1.4%
Insurance, property taxes, etc.	0.7%	0.6%	0.9%	0.6%	0.4%
Utilities and other energy expenses	1.0%	1.1%	1.0%	0.9%	0.8%
Factory repairs and maintenance	1.0%	0.9%	1.2%	0.8%	1.0%
Insurance	0.3%	0.4%	0.3%	0.3%	0.1%
Manufacturing supplies	0.9%	0.5%	1.1%	1.0%	1.0%
Depreciation	3.1%	3.9%	2.7%	3.6%	2.7%
Shipping supplies	0.3%	0.5%	0.3%	0.4%	0.2%
Plates, dies, screens, etc.	0.2%	0.3%	0.1%	0.1%	0.1%
All other factory overhead	1.2%	1.0%	1.2%	1.8%	0.9%
TOTAL OVERHEAD	10.6%	11.8%	11.0%	10.8%	8.5%
Cost of non tag and label products	2.1%	0.2%	3.4%	1.2%	2.7%
TOTAL COST OF GOODS SOLD	71.0%	68.8%	70.3%	72.1%	73.5%

		NET SALES			
	All Firms	Under \$6 Million	\$6 to \$14.9 Million	\$15 to \$35 Million	Over \$35 Million
COMPOSITION OF COST OF GOODS SOLD (percent of cost of goods sold)					
Base papers	43.4%	37.4%	42.6%	46.0%	48.7%
Inks and varnishes	3.6%	2.9%	3.8%	3.6%	3.8%
Plates, dies, screens, etc.	2.7%	4.0%	2.6%	2.1%	1.9%
Packaging materials	1.3%	1.2%	1.2%	0.9%	1.7%
All other materials	2.5%	4.9%	2.0%	1.5%	1.8%
Cost of goods purchased for resale	3.6%	4.3%	3.0%	2.1%	5.6%
TOTAL MATERIAL COSTS	57.0%	54.7%	55.1%	56.3%	63.5%
Direct factory payroll	15.0%	17.1%	14.2%	16.5%	12.5%
Indirect payroll	5.6%	4.9%	6.2%	6.2%	4.7%
Payroll taxes	1.6%	2.2%	1.5%	1.7%	1.2%
Employee benefits	2.7%	3.3%	2.5%	2.6%	2.6%
TOTAL LABOR COSTS	24.9%	27.4%	24.3%	27.1%	21.0%
Rent and depreciation	2.8%	4.0%	3.1%	1.9%	1.9%
Insurance, property taxes, etc.	1.0%	1.0%	1.4%	0.8%	0.6%
Utilities and other energy expenses	1.4%	1.5%	1.5%	1.3%	1.1%
Factory repairs and maintenance	1.4%	1.3%	1.7%	1.2%	1.4%
Insurance	0.4%	0.6%	0.4%	0.4%	0.1%
Manufacturing supplies	1.3%	0.7%	1.6%	1.3%	1.4%
Depreciation	4.4%	5.8%	3.8%	4.7%	3.6%
Shipping supplies	0.5%	0.7%	0.4%	0.6%	0.2%
Plates, dies, screens, etc.	0.2%	0.5%	0.2%	0.1%	0.1%
All other factory overhead	1.8%	1.6%	1.6%	2.9%	1.2%
TOTAL OVERHEAD	15.1%	17.7%	15.5%	15.1%	11.6%
Cost of non tag and label products	3.0%	0.2%	5.2%	1.5%	3.9%
TOTAL COST OF GOODS SOLD	100.0%	100.0%	100.0%	100.0%	100.0%

		NET SALES			
	All Firms	Under \$6 Million	\$6 to \$14.9 Million	\$15 to \$35 Million	Over \$35 Million
PROFIT MARGINS ON T & L PRODUCTS (as a percent of t & l net sales)					
Net sales (T & L products)	100.0%	100.0%	100.0%	100.0%	100.0%
Cost of materials	42.4%	38.5%	41.4%	42.0%	48.7%
Gross profit on materials	57.6%	61.5%	58.6%	58.0%	51.3%
Net sales (T & L products)	100.0%	100.0%	100.0%	100.0%	100.0%
Cost of materials and labor	60.8%	57.4%	59.7%	62.2%	65.1%
Gross profit on materials and labor	39.2%	42.6%	40.3%	37.8%	34.9%
Net sales (T & L products)	100.0%	100.0%	100.0%	100.0%	100.0%
Cost of materials, labor, overhead	71.9%	69.3%	71.2%	73.5%	74.2%
Gross profit	28.1%	30.7%	28.8%	26.5%	25.8%
SELLING EXPENSES (as a percent of net sales)					
Sales salaries and commissions	3.9%	3.0%	4.2%	4.7%	3.7%
Travel and entertainment expense	0.3%	0.2%	0.3%	0.5%	0.2%
Executive and office salaries	1.5%	1.4%	2.2%	1.4%	0.5%
Advertising and promotion	0.4%	0.3%	0.4%	0.4%	0.4%
Other expenses	0.9%	0.2%	1.0%	1.0%	1.4%
Total selling and marketing expenses	7.0%	5.2%	8.0%	7.9%	6.3%
GENERAL AND ADMINISTRATIVE EXPENSES (as a percent of net sales)					
Officer and other salaries	6.7%	8.2%	7.3%	7.5%	3.4%
All other expenses	4.0%	4.6%	4.2%	4.1%	2.9%
Total general and administrative expenses	10.7%	12.8%	11.4%	11.6%	6.3%
SELLING EXPENSES (as a percent of gross profit)					
Sales salaries and commissions	14.6%	9.1%	15.3%	18.5%	14.8%
Travel and entertainment expense	1.1%	0.7%	1.2%	1.5%	1.0%
Executive and office salaries	5.3%	4.6%	7.6%	5.4%	1.9%
Advertising and promotion	1.3%	1.0%	1.3%	1.7%	1.2%
Other expenses	3.3%	0.7%	3.2%	3.6%	6.0%
Total selling and marketing expenses	25.6%	16.1%	28.6%	30.7%	24.9%
GENERAL AND ADMINISTRATIVE EXPENSES (as a percent of gross profit)					
Officer and other salaries	24.3%	28.0%	24.6%	28.9%	14.8%
All other expenses	14.0%	15.0%	13.8%	14.3%	12.9%
Total general and administrative expenses	38.3%	43.1%	38.4%	43.2%	27.7%

		NET SALES			
	All Firms	Under \$6 Million	\$6 to \$14.9 Million	\$15 to \$35 Million	Over \$35 Million
SUMMARY INCOME STATEMENT (as a percent of net sales)					
Net Sales	100.0%	100.0%	100.0%	100.0%	100.0%
Cost of Goods Sold	71.0%	68.8%	70.3%	72.1%	73.5%
Gross profit	29.0%	31.2%	29.7%	27.9%	26.5%
COVID Relief Funds (PPP loans)	1.6%	0.8%	2.0%	3.0%	0.2%
Other operating revenue	0.3%	0.1%	0.4%	0.1%	0.4%
Selling and administrative expenses	17.8%	18.0%	19.5%	19.5%	12.6%
Interest expense (income)	1.0%	0.4%	0.6%	0.4%	2.9%
Other expense (income)	0.2%	-0.2%	-0.6%	0.2%	1.8%
Net operating income	11.9%	13.9%	12.6%	10.8%	9.8%
COMPENSATION (as a percent of net sales)					
Direct factory payroll	10.5%	11.6%	10.0%	11.7%	9.2%
Indirect payroll	4.1%	3.5%	4.4%	4.6%	3.5%
Payroll taxes	1.1%	1.5%	1.0%	1.2%	0.9%
Employee benefits	1.9%	2.2%	1.7%	1.9%	1.9%
Selling and marketing	5.4%	4.5%	6.4%	6.0%	4.2%
General and administrative	6.7%	8.2%	7.3%	7.5%	3.4%
Total compensation	29.8%	31.4%	30.7%	33.0%	23.1%
DEMOGRAPHIC INFORMATION					
Income Tax Status					
Regular corporation	23.0%	12.5%	25.0%	20.0%	33.3%
S corporation	64.9%	87.5%	67.9%	73.3%	26.7%
Partnership	12.2%	0.0%	7.1%	6.7%	40.0%
Proprietorship	0.0%	0.0%	0.0%	0.0%	0.0%
Reporting Entity					
Single division company	68.0%	87.5%	85.7%	56.3%	26.7%
Single division of multiple division company	12.0%	12.5%	7.1%	6.3%	26.7%
Consolidated multiple division company	20.0%	0.0%	7.1%	37.5%	46.7%
Accounting Method Used					
GAAP	93.3%	93.8%	85.7%	100.0%	100.0%
Non-GAAP	6.7%	6.3%	14.3%	0.0%	0.0%

		NET SALES			
	All Firms	Under \$6 Million	\$6 to \$14.9 Million	\$15 to \$35 Million	Over \$35 Million
Inventory Accounting Method					
First-in, first-out (FIFO)	17.8%	18.8%	15.4%	18.8%	20.0%
Last-in, first-out (LIFO)	82.2%	81.3%	84.6%	81.3%	80.0%
Received COVID Relief Funds (PPP, Government Grants, etc.)					
Yes	58.7%	87.5%	57.1%	68.8%	20.0%
No, did not apply	38.7%	12.5%	35.7%	31.3%	80.0%
No, applied but was not approved	0.0%	0.0%	0.0%	0.0%	0.0%
Not sure	2.7%	0.0%	7.1%	0.0%	0.0%
Primary Driving Force of Company					
Revenue growth	38.7%	31.3%	35.7%	37.5%	53.3%
Tax deferral	0.0%	0.0%	0.0%	0.0%	0.0%
Profit	61.3%	68.8%	64.3%	62.5%	46.7%
Orders and Returns					
Typical Company's Average Order Size	\$2,577	\$2,010	\$2,321	\$3,500	\$3,500
Median Customer Returns as a Percent of Sales	1.0%	0.9%	0.7%	0.9%	1.0%
Median Raw Material Returns	1.0%	2.0%	1.0%	0.5%	*
Percent of Production in:					
Pressure Sensitive	83.0%	91.6%	80.7%	84.9%	75.8%
Wet Glue Paper	1.8%	0.0%	1.2%	0.0%	6.6%
Shrink	2.0%	0.0%	2.3%	2.0%	3.9%
Unsupported Film (including flexibles)	4.8%	5.8%	2.4%	4.8%	8.2%
Other	8.4%	2.6%	13.4%	8.4%	5.5%
Total	100.0%	100.0%	100.0%	100.0%	100.0%

		NET SALES			
	All Firms	Under \$6 Million	\$6 to \$14.9 Million	\$15 to \$35 Million	Over \$35 Million
COMPENSATION PRACTICES					
Did you increase salaries/hourly rates last year?					
Yes	98.6%	100.0%	96.4%	100.0%	100.0%
No	1.4%	0.0%	3.6%	0.0%	0.0%
Does your company provide variable or incentive compensation for production and administrative employees (not direct sales people)?					
Yes	78.4%	66.7%	78.6%	87.5%	80.0%
No	21.6%	33.3%	21.4%	12.5%	20.0%
If yes, is the payment based on:					
Individual Performance	16.7%	0.0%	27.3%	7.1%	25.0%
Department Performance	3.3%	0.0%	0.0%	7.1%	8.3%
Companywide Performance	68.3%	75.0%	63.6%	78.6%	58.3%
Other	11.7%	25.0%	9.1%	7.1%	8.3%
Also, if yes, is the payment based on:					
Revenue	6.9%	9.1%	4.8%	7.1%	8.3%
Profit	69.0%	81.8%	66.7%	78.6%	50.0%
Errors/Quality	6.9%	0.0%	4.8%	14.3%	8.3%
Other	17.2%	9.1%	23.8%	0.0%	33.3%
Finally, if yes, is the payment level:					
Published and Shared	32.2%	9.1%	27.3%	42.9%	50.0%
Discretionary and Decided by Management	67.8%	90.9%	72.7%	57.1%	50.0%
OTHER INFORMATION					
What was your total gross production volume in MSI for the past year?	8,355,252	1,750,000	4,748,528	20,825,735	89,530,536
How many pounds of solid waste did you landfill?	187,850	200,000	123,840	198,522	526,930
How many Kwh of electrical power did you consume?	513,853	191,896	357,106	1,540,952	4,536,594
To the best of your knowledge, what % of liner shipped as finished product is recycled or recovered for any beneficial use by your customers/end users?	4.0%	2.5%	2.0%	0.5%	10.0%

MOST PROFITABLE					
		NET SALES			
	All Firms	Under \$6 Million	\$6 to \$14.9 Million	\$15 to \$35 Million	Over \$35 Million
KEY PERFORMANCE MEASURES					
SALES					
Average net sales	\$36,688,139	\$3,936,205	\$10,232,272	\$22,245,862	\$183,671,993
Median net sales	\$11,224,000	\$4,108,725	\$8,829,701	\$22,608,188	\$127,456,121
PROFITABILITY					
Net income before taxes as a % of sales	17.6%	16.8%	19.3%	14.1%	18.6%
EBITDA as a % of sales	21.8%	21.4%	21.8%	17.1%	23.8%
Operating profit as a % of sales	17.0%	17.6%	15.9%	10.5%	21.7%
Return on assets	30.4%	28.7%	33.8%	29.5%	15.0%
Return on equity	53.9%	46.9%	55.3%	50.0%	41.1%
LIQUIDITY					
Current assets to current liabilities	380.5%	637.4%	403.6%	309.1%	345.0%
Current assets to total assets	62.9%	60.5%	62.4%	66.6%	33.7%
Working capital as a % of sales	16.3%	13.1%	16.9%	20.8%	13.8%
EFFICIENCY					
Accts receivables in days	35.6	32.0	35.4	43.0	34.7
Accts payables in days	17.5	11.9	24.1	19.6	16.1
Inventory turns in days	40.7	22.5	52.3	56.7	32.5
Cash cycle in days	57.8	42.3	68.7	77.9	49.4
Debt service ratio	5.1	7.3	8.8	4.9	*
Gross profit return on inventory	\$5.22	\$11.63	\$5.18	\$2.59	\$5.54
Asset turns in days	237.5	243.1	238.7	173.5	565.3
VALUE ADDED RATIOS					
Value added as a % of sales	62.5%	70.1%	66.6%	60.8%	58.7%
Net income before taxes as a % of value added	27.7%	26.7%	27.7%	22.3%	33.3%
Value added per employee	\$158,477	\$173,720	\$142,269	\$140,397	\$188,839
CAPITAL STRUCTURE					
Debt to equity	45.2%	34.2%	96.5%	47.5%	49.2%
Equity to total assets	66.1%	75.2%	50.9%	61.6%	68.6%
GROWTH TRENDS					
Sales change	9.9%	11.4%	14.3%	4.4%	11.3%
Gross profit change	7.7%	7.3%	13.3%	4.6%	9.4%
Employment change	2.8%	0.0%	0.0%	5.7%	7.6%
Investment change	26.7%	50.4%	13.4%	19.6%	37.5%

MOST PROFITABLE					
		NET SALES			
	All Firms	Under \$6 Million	\$6 to \$14.9 Million	\$15 to \$35 Million	Over \$35 Million
PRODUCTIVITY					
Typical number of full-time equivalent employees	47	14	40	84	400
Net sales per employee	\$252,359	\$272,280	\$231,643	\$251,073	\$321,658
Press utilization	70%	66%	71%	63%	71%
OTHER					
Health insurance premiums as a % of sales	1.8%	1.1%	1.8%	3.0%	1.4%
SALES AND COST OF GOODS SOLD (percent of net sales)					
Net Sales (All products)	100.0%	100.0%	100.0%	100.0%	100.0%
Base papers	27.7%	22.2%	26.1%	29.8%	29.4%
Inks and varnishes	2.2%	1.6%	2.0%	2.7%	2.9%
Plates, dies, screens, etc.	1.8%	1.9%	2.2%	1.6%	1.2%
Packaging materials	0.7%	0.5%	0.7%	0.5%	0.9%
All other materials	1.4%	1.9%	1.1%	1.6%	1.5%
Cost of goods purchased for resale	3.1%	3.9%	2.0%	1.9%	5.9%
TOTAL MATERIAL COSTS	36.8%	32.0%	34.0%	38.0%	41.8%
Direct factory payroll	10.1%	10.6%	10.2%	10.8%	7.8%
Indirect payroll	3.7%	3.4%	4.7%	4.7%	3.4%
Payroll taxes	1.1%	1.4%	1.1%	1.2%	0.7%
Employee benefits	2.0%	2.5%	1.7%	2.3%	1.7%
TOTAL LABOR COSTS	16.9%	17.9%	17.7%	19.0%	13.7%
Rent and depreciation	1.9%	2.6%	1.8%	1.7%	1.5%
Insurance, property taxes, etc.	0.7%	0.6%	1.0%	0.6%	0.5%
Utilities and other energy expenses	0.9%	1.0%	0.9%	0.9%	0.7%
Factory repairs and maintenance	0.9%	0.9%	0.8%	0.8%	0.9%
Insurance	0.3%	0.5%	0.4%	0.3%	0.1%
Manufacturing supplies	0.9%	0.3%	0.9%	1.1%	1.0%
Depreciation	3.1%	4.0%	2.8%	2.9%	2.8%
Shipping supplies	0.3%	0.7%	0.2%	0.2%	0.3%
Plates, dies, screens, etc.	0.2%	0.2%	0.2%	0.2%	0.1%
All other factory overhead	0.9%	1.1%	0.8%	1.5%	0.7%
TOTAL OVERHEAD	10.1%	11.8%	9.8%	10.0%	8.6%
Cost of non tag and label products	1.5%	0.1%	3.0%	1.2%	1.1%
TOTAL COST OF GOODS SOLD	65.3%	61.9%	64.5%	68.2%	65.1%

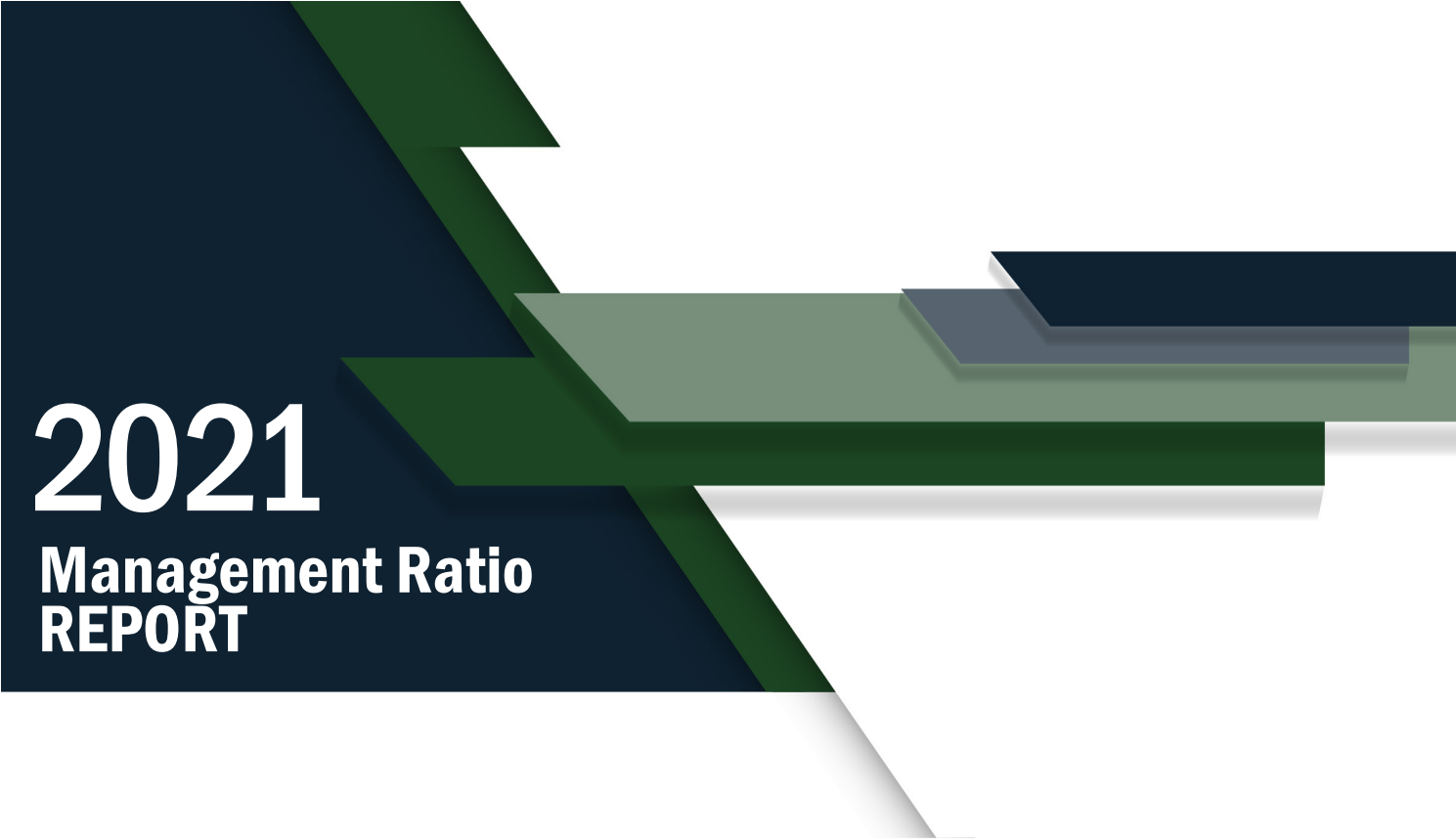
MOST PROFITABLE					
		NET SALES			
	All Firms	Under \$6 Million	\$6 to \$14.9 Million	\$15 to \$35 Million	Over \$35 Million
COMPOSITION OF COST OF GOODS SOLD (percent of cost of goods sold)					
Base papers	42.0%	35.3%	40.3%	44.4%	44.8%
Inks and varnishes	3.2%	2.6%	2.9%	3.9%	4.3%
Plates, dies, screens, etc.	2.8%	3.5%	3.1%	2.4%	1.9%
Packaging materials	1.0%	0.9%	1.0%	0.7%	1.4%
All other materials	2.0%	2.7%	1.6%	2.2%	2.2%
Cost of goods purchased for resale	5.0%	6.1%	3.1%	2.7%	9.9%
TOTAL MATERIAL COSTS	56.0%	51.1%	52.0%	56.2%	64.5%
Direct factory payroll	15.6%	17.4%	15.8%	16.0%	12.0%
Indirect payroll	5.5%	5.1%	7.1%	6.4%	5.1%
Payroll taxes	1.6%	2.3%	1.8%	1.6%	1.1%
Employee benefits	3.0%	3.9%	2.7%	3.3%	2.6%
TOTAL LABOR COSTS	25.7%	28.7%	27.3%	27.3%	20.8%
Rent and depreciation	3.0%	4.4%	3.0%	2.3%	2.3%
Insurance, property taxes, etc.	1.1%	1.1%	1.5%	0.8%	0.8%
Utilities and other energy expenses	1.3%	1.6%	1.4%	1.3%	1.1%
Factory repairs and maintenance	1.3%	1.4%	1.2%	1.2%	1.4%
Insurance	0.5%	0.8%	0.5%	0.4%	0.1%
Manufacturing supplies	1.3%	0.5%	1.5%	1.4%	1.5%
Depreciation	4.8%	7.0%	4.3%	4.0%	4.1%
Shipping supplies	0.5%	1.2%	0.3%	0.4%	0.5%
Plates, dies, screens, etc.	0.3%	0.3%	0.4%	0.2%	0.1%
All other factory overhead	1.6%	1.9%	1.2%	2.8%	1.1%
TOTAL OVERHEAD	15.7%	20.1%	15.1%	14.9%	13.0%
Cost of non tag and label products	2.6%	0.2%	5.6%	1.7%	1.8%
TOTAL COST OF GOODS SOLD	100.0%	100.0%	100.0%	100.0%	100.0%

MOST PROFITABLE					
		NET SALES			
	All Firms	Under \$6 Million	\$6 to \$14.9 Million	\$15 to \$35 Million	Over \$35 Million
PROFIT MARGINS ON T & L PRODUCTS (as a percent of t & l net sales)					
Net sales (T & L products)	100.0%	100.0%	100.0%	100.0%	100.0%
Cost of materials	38.1%	32.2%	36.1%	39.4%	42.8%
Gross profit on materials	61.9%	67.8%	63.9%	60.7%	57.2%
Net sales (T & L products)	100.0%	100.0%	100.0%	100.0%	100.0%
Cost of materials and labor	55.4%	50.3%	54.6%	58.9%	56.8%
Gross profit on materials and labor	44.6%	49.7%	45.4%	41.1%	43.2%
Net sales (T & L products)	100.0%	100.0%	100.0%	100.0%	100.0%
Cost of materials, labor, overhead	65.7%	62.2%	64.6%	69.3%	65.5%
Gross profit	34.3%	37.8%	35.4%	30.7%	34.5%
SELLING EXPENSES (as a percent of net sales)					
Sales salaries and commissions	4.4%	4.8%	4.7%	3.9%	4.5%
Travel and entertainment expense	0.2%	0.2%	0.2%	0.3%	0.2%
Executive and office salaries	1.7%	1.4%	2.4%	1.5%	0.9%
Advertising and promotion	0.5%	0.5%	0.4%	0.4%	0.7%
Other expenses	0.7%	0.3%	1.0%	0.3%	1.5%
Total selling and marketing expenses	7.6%	7.2%	8.7%	6.5%	7.8%
GENERAL AND ADMINISTRATIVE EXPENSES (as a percent of net sales)					
Officer and other salaries	6.8%	8.2%	7.3%	8.8%	3.3%
All other expenses	4.1%	4.4%	5.0%	4.1%	2.2%
Total general and administrative expenses	10.9%	12.6%	12.3%	12.9%	5.5%
SELLING EXPENSES (as a percent of gross profit)					
Sales salaries and commissions	13.3%	12.3%	14.1%	14.1%	13.2%
Travel and entertainment expense	0.8%	0.5%	0.7%	1.0%	0.6%
Executive and office salaries	5.0%	3.5%	6.8%	4.7%	3.1%
Advertising and promotion	1.3%	1.4%	1.1%	1.3%	1.5%
Other expenses	2.0%	0.9%	2.8%	1.2%	4.0%
Total selling and marketing expenses	22.3%	18.6%	25.4%	22.3%	22.3%
GENERAL AND ADMINISTRATIVE EXPENSES (as a percent of gross profit)					
Officer and other salaries	19.5%	22.4%	20.2%	27.9%	9.0%
All other expenses	11.7%	11.3%	14.4%	12.8%	6.5%
Total general and administrative expenses	31.2%	33.6%	34.5%	40.7%	15.4%

MOST PROFITABLE					
		NET SALES			
	All Firms	Under \$6 Million	\$6 to \$14.9 Million	\$15 to \$35 Million	Over \$35 Million
SUMMARY INCOME STATEMENT (as a percent of net sales)					
Net Sales	100.0%	100.0%	100.0%	100.0%	100.0%
Cost of Goods Sold	65.3%	61.9%	64.5%	68.2%	65.1%
Gross profit	34.7%	38.2%	35.5%	31.8%	34.9%
COVID Relief Funds (PPP loans)	2.2%	1.0%	2.8%	4.5%	0.0%
Other operating revenue	0.1%	0.1%	0.0%	0.2%	0.1%
Selling and administrative expenses	18.5%	19.7%	21.1%	19.4%	13.3%
Interest expense (income)	0.9%	0.5%	0.4%	0.5%	3.7%
Other expense (income)	-0.4%	-0.4%	-1.2%	0.1%	0.1%
Net operating income	18.0%	19.4%	18.0%	16.5%	17.8%
COMPENSATION (as a percent of net sales)					
Direct factory payroll	10.1%	10.6%	10.2%	10.8%	7.8%
Indirect payroll	3.7%	3.4%	4.7%	4.7%	3.4%
Payroll taxes	1.1%	1.4%	1.1%	1.2%	0.7%
Employee benefits	2.0%	2.5%	1.7%	2.3%	1.7%
Selling and marketing	6.1%	6.3%	7.1%	5.4%	5.4%
General and administrative	6.8%	8.2%	7.3%	8.8%	3.3%
Total compensation	29.9%	32.4%	32.2%	33.1%	22.4%
DEMOGRAPHIC INFORMATION					
Income Tax Status					
Regular corporation	13.5%	0.0%	23.1%	0.0%	28.6%
S corporation	73.0%	100.0%	76.9%	87.5%	28.6%
Partnership	13.5%	0.0%	0.0%	12.5%	42.9%
Proprietorship	0.0%	0.0%	0.0%	0.0%	0.0%
Reporting Entity					
Single division company	70.3%	87.5%	92.3%	50.0%	14.3%
Single division of multiple division company	10.8%	12.5%	0.0%	12.5%	28.6%
Consolidated multiple division company	18.9%	0.0%	7.7%	37.5%	57.1%
Accounting Method Used					
GAAP	91.9%	87.5%	92.3%	100.0%	100.0%
Non-GAAP	8.1%	12.5%	7.7%	0.0%	0.0%

MOST PROFITABLE					
		NET SALES			
	All Firms	Under \$6 Million	\$6 to \$14.9 Million	\$15 to \$35 Million	Over \$35 Million
Inventory Accounting Method					
First-in, first-out (FIFO)	16.2%	0.0%	23.1%	12.5%	28.6%
Last-in, first-out (LIFO)	83.8%	100.0%	76.9%	87.5%	71.4%
Received COVID Relief Funds (PPP, Government Grants, etc.)					
Yes	56.8%	87.5%	53.9%	75.0%	0.0%
No, did not apply	40.5%	12.5%	38.5%	25.0%	100.0%
No, applied but was not approved	0.0%	0.0%	0.0%	0.0%	0.0%
Not sure	2.7%	0.0%	7.7%	0.0%	0.0%
Primary Driving Force of Company					
Revenue growth	29.7%	0.0%	38.5%	12.5%	71.4%
Tax deferral	0.0%	0.0%	0.0%	0.0%	0.0%
Profit	70.3%	100.0%	61.5%	87.5%	28.6%
Orders and Returns					
Typical Company's Average Order Size	\$1,652	\$1,255	\$2,126	\$3,027	\$2,955
Median Customer Returns as a Percent of Sales	0.6%	0.1%	0.4%	0.5%	1.0%
Median Raw Material Returns	1.0%	*	0.5%	*	*
Percent of Production in:					
Pressure Sensitive	83.8%	88.9%	80.9%	87.8%	76.2%
Wet Glue Paper	0.9%	0.0%	2.6%	0.0%	0.0%
Shrink	2.5%	0.0%	2.1%	1.7%	5.9%
Unsupported Film (including flexibles)	6.5%	7.8%	2.1%	8.0%	13.2%
Other	6.3%	3.4%	12.4%	2.5%	4.7%
Total	100.0%	100.0%	100.0%	100.0%	100.0%

MOST PROFITABLE					
		NET SALES			
	All Firms	Under \$6 Million	\$6 to \$14.9 Million	\$15 to \$35 Million	Over \$35 Million
COMPENSATION PRACTICES					
Did you increase salaries/hourly rates last year?					
Yes	100.0%	100.0%	100.0%	100.0%	100.0%
No	0.0%	0.0%	0.0%	0.0%	0.0%
Does your company provide variable or incentive compensation for production and administrative employees (not direct sales people)?					
Yes	86.1%	57.1%	92.3%	87.5%	85.7%
No	13.9%	42.9%	7.7%	12.5%	14.3%
If yes, is the payment based on:					
Individual Performance	15.2%	0.0%	33.3%	0.0%	0.0%
Department Performance	0.0%	0.0%	0.0%	0.0%	0.0%
Companywide Performance	72.7%	66.7%	58.3%	85.7%	83.3%
Other	12.1%	33.3%	8.3%	14.3%	16.7%
Also, if yes, is the payment based on:					
Revenue	6.3%	0.0%	0.0%	14.3%	16.7%
Profit	68.8%	80.0%	66.7%	71.4%	66.7%
Errors/Quality	3.1%	0.0%	0.0%	14.3%	0.0%
Other	21.9%	20.0%	33.3%	0.0%	16.7%
Finally, if yes, is the payment level:					
Published and Shared	31.3%	0.0%	25.0%	42.9%	66.7%
Discretionary and Decided by Management	68.8%	100.0%	75.0%	57.1%	33.3%
OTHER INFORMATION					
What was your total gross production volume in MSI for the past year?	5,964,737	*	4,163,490	11,623,764	60,798,969
How many pounds of solid waste did you landfill?	172,430	*	142,920	78,000	*
How many Kwh of electrical power did you consume?	440,478	230,560	375,573	1,273,200	*
To the best of your knowledge, what % of liner shipped as finished product is recycled or recovered for any beneficial use by your customers/end users?	4.5%	*	4.0%	0.5%	*



2021

**Management Ratio
REPORT**

Appendix



TLMI

Survey Methodology and Demographics

In December 2021, Industry Insights, Inc. distributed strictly confidential questionnaires to all TLMI members. The primary intent of this survey was to collect detailed financial, operating and sales information from companies to allow participants to evaluate their own company's performance versus industry peers.

Once the questionnaires were received by Industry Insights, the data was coded, entered into a proprietary system and edited by Industry Insights' financial analysts for accuracy and consistency. Analysis was performed on all data to ensure statistical validity and to produce the financial and operating ratios contained in this study.

A total of 75 questionnaires were received by Industry Insights. In particular, the statistical sample consists of the following:

	Number of Companies
All Respondents	75
Respondents by Net Sales:	
Under \$6 Million	16
\$6 Million to \$14.9 Million	28
\$15 Million to \$35 Million	16
Over \$35 Million	15

The following additional data segments are available through the Online Reporting Tools.

- Company type
- Number of employees
- Geographic location
- Percentage of sales from T&L products

The table below shows the participation rate for the Management Ratio Report for the past 10 years.

Participation Rates			
	# of Participants	# of Survey Forms Sent	Participation Rate
2012 Study	100	151	66.2%
2013 Study	98	156	62.8%
2014 Study	102	161	63.4%
2015 Study	91	165	55.2%
2016 Study	91	159	57.2%
2017 Study	95	172	55.2%
2018 Study	92	166	55.4%
2019 Study	81	167	48.5%
2020 Study	81	156	51.9%
2021 Study	75	149	50.3%

States in each Geographic Region:

Northeast (CT, MA, ME, NH, NJ, NY, PA, RI, VT)

Midwest (IA, IL, IN, KS, MI, MN, MO, NE, ND, OH, SD, WI)

South (AL, AR, DC, DE, FL, GA, KY, LA, MD, MS, NC, OK, SC, TN, TX, VA, WV)

West (AK, AZ, CA, CO, HI, ID, MT, NV, NM, OR, UT, WA, WY)

Other (all non-U.S. respondents)

The statistical information contained in this report is believed to be representative of the companies responding to the survey. All reasonable efforts were taken by Industry Insights, Inc. to assure data comparability within the limitations of accounting reporting procedures. However, the data used in this report are not necessarily based on audited financial statements and the statistical validity of any given number varies depending upon sample sizes and the amount of consistency among responses for that particular ratio. Industry Insights and TLMI, therefore, make no representations or warranties with respect to the results of this study and shall not be liable to clients or anyone else for any information inaccuracies, or errors or omissions in contents, regardless of the cause of such inaccuracy, error or omission. In no event shall Industry Insights and/or TLMI be liable for any consequential damages.

Key Ratio Definitions

The primary purpose of the TLMI Management Ratio Report is to provide a basis for comparing your own performance with your peers. In order to do this, it is necessary to calculate your own ratios using the same methods that were used to compute the ratios in this report. These definitions appear on the pages that follow.

To further clarify the computational process, this section of the report also contains a copy of the survey questionnaire used for the study.

Note: Those companies that participated in this year's survey automatically received a confidential individualized "Company Performance Report." This report presents a participant's own ratios and data already computed in a manner consistent with those appearing in the full report, which are displayed alongside the appropriate comparatives. As a result, participating firms received invaluable information about their own business performance without having to spend time and effort to make the calculations manually.

Measure	Calculation	Suggested Uses
Net Income Before Taxes as a Percentage of Net Sales	Net operating income + (executive compensation – \$200,000) + contributions to profit sharing and pensions ÷ net sales	A good overall measure of how well gross margin and expenses are being controlled.
EBITDA as a Percentage of Net Sales	Net income before taxes + depreciation of machinery & equipment + interest expense net of interest income	A good measure of overall profitability. Measures a company's true earning power – the ability to generate cash from its operations.
Operating profit as a Percentage of Net Sales	Gross profit – selling and G&A expenses + (executive compensation – \$200,000) + contributions to profit sharing and pensions ÷ net sales	A good overall measure of the true profits from operations. This measure excludes interest and other expenses that are not directly tied to the operations of the business.
Return on Assets	Net operating income + (executive compensation – \$200,000) + contributions to profit sharing and pensions ÷ average of beginning and ending assets	An excellent indicator of the percentage return on total assets employed in the business.
Return on Equity	Net operating income + (executive compensation – \$200,000) + contributions to profit sharing and pensions ÷ prior year ending stockholder's equity	The best overall measure of financial performance from an owner's standpoint. This ratio may not be as relevant to businesses who pay large shareholder distributions.
Current Ratio	Total current assets ÷ current liabilities	Measures company's ability to pay short-term debt out of relatively liquid assets.
Current Assets to Total Assets	Total current assets ÷ total assets	Measures the degree to which a company has invested in "working" assets. The higher this percentage, the more funds you will have to finance inventory and receivables.
Working Capital as a Percentage of Net Sales	(Inventory + accounts receivable – accounts payable) ÷ net sales	Measures the degree to which a company has invested in "working" assets. The higher this percentage, the more funds you will have to finance inventory and receivables.
Inventory Turnover in Days	Average of beginning and ending inventory ÷ total cost of goods sold X 365	Reflects the number of days it takes to sell inventory.

Measure	Calculation	Suggested Uses
Cash Cycle in Days	(Accounts receivable days + inventory turnover days) – accounts payable days	A good measure of overall cash management from receivables, payables and inventory controls.
Debt Service Ratio	Net operating income ÷ (short-term and current portion of long-term debt + interest expenses)	Measures a company's ability to cover its current obligations.
Accounts Receivable Turnover in Days	Average of beginning and ending accounts receivable ÷ net sales X 365	Indicates the number of days it takes receivables to turn into cash. Attention should be paid to credit terms, billing procedures, trends and industry average.
Gross Profit Return on Inventory	Gross profit ÷ average of beginning and ending inventory	This measure represents the best overall indicator of product management effectiveness because it encompasses both a gross margin component as well as an inventory turnover component.
Total Assets Turnover in Days	Total assets ÷ net sales X 365	Indicates the turnover rate of total assets to achieve net revenue. When viewed historically, ratio indicates the effectiveness of generating sales from asset expansion.
Value Added as a Percentage of Net Sales	[(Net sales – materials costs) ÷ net sales] x 100	Measures the value added to purchased materials after the end product is manufactured.
Debt to Equity	Total debt ÷ owner's equity	A good overall measure of financial leverage. Leverage is the extent to which a company is financed by debt as opposed to the owner's funds, and the higher the ratio, the higher the leverage.
Equity to Total Assets	Owner's equity ÷ total assets	Indicates the proportion of assets provided by owners or stockholders and reflects the financial leverage of the company.
Percentage Change in Net Sales	Current year net sales - prior year net sales ÷ prior year net sales	Basic measure of the performance of the revenue component of a business.
Percentage Change in Gross Profit	Current year gross profit value - prior year gross profit value ÷ prior year gross profit value	Basic measure of how gross profit dollars changed versus the prior year.
Percentage Change in Employment	Current year - prior year number of full-time employees ÷ prior year number of full-time employees	Indicates a company's current growth in its employee base.
Investment in Property and Equipment	Current year in investment in property and equipment ÷ book value of prior year property and equipment	Indicates a company's investment for the future.
Press Utilization	Number or press hours consumed in a year ÷ average number of presses ÷ average number of shifts. This figure was then divided by 2,080 (total hours available per press).	Indicates the percentage of press hours consumed in versus total hours available.
Net Income Before Taxes as a Percentage of Value Added	[Net income before taxes ÷ (net sales – materials costs)] x 100	In line with the above measure this indicates the profit percentage in relation to the value added amount.
Value Added per Employee	(Net sales – materials costs) ÷ total number of employees	Demonstrates the amount of value added to purchased materials as an average of all employees.



Survey Questionnaire

Return to Industry Insights by February 4, 2022

2021 TLMI Management Ratio Study General Information

Company Number:	_____	Person(s) completing the form	_____
Company Name:	_____	Name(s)	_____ Title(s) _____
Address:	_____	Phone Number ()	_____ E-mail _____
_____	_____	Comments to Industry Insights concerning your information:	
_____	_____	_____	

According to TLMI Board of Director's Policy established on March 2, 2005, in order for a member to receive the results of the ratio report, the company's dues status must be current.

Month end of your normal fiscal yr _____

Month end of your reported results _____

Primary driving force of company (check one):

- Revenue growth ☐ 401
Tax deferral..... ☐
Profit..... ☐

Inventory accounting method (check one):

- LIFO..... ☐ 402
FIFO..... ☐

Reported results pertain to (check one): *Note - if you are reporting as an individual plant of a multiple division company, you will not be eligible for the Singer Award.*

- Single division company ☐ 403
Single division of a multiple division company..... ☐
Consolidated multiple division company ☐

Income tax status (check one):

- Regular Corporation ☐ 404
S Corporation ☐
Partnership ☐
Proprietorship ☐

Accounting method used:

- GAAP ☐ 430
Non-GAAP ☐

Note Non-GAAP are not eligible for the Eugene Singer award

Did your organization receive funds for a loan through the Paycheck Protection Program (PPP), government grants, or other funds as part of relief from the COVID-19 impact?

- 800 ☐ Yes ☐ No, did not apply ☐ No, applied but was not approved ☐ Not sure

TLMI Management Ratio Study

Return to Industry Insights by February 4, 2022
Company Number:

What Percent of Your Production is:

875	_____ %	Pressure Sensitive
876	_____ %	Wet Glue Paper
877	_____ %	Shrink
878	_____ %	Unsupported Film (including flexibles)
879	_____ %	Other.....
	100 %	TOTAL (Should total 100%)

Compensation Practices

Did you increase salaries/hourly rates last year?

880 ☐ Yes ☐ No

Does your company provide variable or incentive compensation for production and administrative employees (**not direct sales people**)?

882 ☐ Yes ☐ No

If yes, is the payment based on: (pick one)

883 ☐ Individual Performance ☐ Department Performance
 ☐ Companywide Performance ☐ Other _____

Also, if yes, is the payment based on: (pick one)

884 ☐ Revenue ☐ Profit
 ☐ Errors/Quality ☐ Other _____

Finally, if yes, is the payment level: (pick one)

885 ☐ Published and Shared ☐ Discretionary and Decided by Management

Other Information

What was your total gross production volume in MSI for the past year? _____ **MSI** 443

Sum the total production volume of all substrates (both pressure sensitive and non-pressure sensitive as expressed in thousands of square inches--MSI)

How many pounds of solid waste did you landfill? _____ **LBS** 445

Calculate the total solid waste sent to landfill from your operation as expressed in total pounds.

How many Kwh of electrical power did you consume? _____ **Kwh** 446

Report the total electrical consumption for the last year in kilowatt hours (Kwh) from your utility bills

To the best of your knowledge, what % of liner shipped as finished product is recycled or recovered for any beneficial use by your customers/end users? _____ **%** 447
Determine how much of your pressure sensitive liner materials shipped is recycled or recovered for other use as a % of your total pressure sensitive materials shipped. If you don't have exact figures then please provide your best estimate.

TLMI Management Ratio Study

Return to Industry Insights by February 4, 2022
Company Number:
Report figures in U.S. dollars only. Report figures on a GAAP basis.

		Current Year	Prior Year	Second Prior
NET SALES AND OTHER REVENUES:				
1	T&L products* manufactured by this company			
2	T&L products* purchased for resale			
3	Non T&L products			
ppp	PPP Loans / Government Grants / Other Funds for COVID-19 relief			
4	Total net sales (Add lines 1 through 3 plus 'ppp' line)			
5	Other operating revenue from rents, services, and other operations.			
COST OF GOODS SOLD				
	Cost of T&L Products:			
	Materials			
6	Base papers			
7	Inks and varnishes			
8	Plates, dies, screens, artwork type and other specific customer costs.			
9	Packaging materials			
10	All other materials			
11	Cost of goods purchased for resale			
12	Total material cost (Add lines 6 through 11)			
	Labor			
13	Direct factory payroll			
14	Indirect payroll			
15	Payroll taxes			
16	Employee benefits			
17	Total labor (Add lines 13 through 16)			
	Overhead			
18	Rent and depreciation on factory building			
19	Insurance, property taxes, maintenance and other costs of the building			
20	Utilities and other energy expenses			
21	Factory repairs and maintenance			
22	Insurance			
23	Manufacturing supplies			
24	Depreciation of machinery and equipment			
25	Shipping supplies			
26	Plates, dies, screens, artwork and type not charged to orders			
27	All other factory overhead expenses			
28	Total overhead (Add lines 18 through 27)			
29	Cost of Non T&L Products (Relating to Line 3)			
30	Total Cost of Goods Sold (Add lines 12 + 17 + 28 + 29)			

*Please refer to TLMI's mission statement: narrow web tag, label and packaging.

Return to Industry Insights by February 4, 2022

Company Number:

Report figures in U.S. dollars only. Report figures on a GAAP basis.

	Current Year	Prior Year	Second Prior
OTHER INCOME STATEMENT INFORMATION			
Selling Expenses			
31	Sales salaries, commissions, and related payroll taxes and benefits		
32	Sales and marketing travel and entertainment expenses		
33	Sales executive and sales office salaries		
34	Advertising and promotion		
35	All other selling and marketing expenses		
36	Total selling expenses (Add lines 31 through 35)		
General and Administrative Expenses			
37	Officer and other salaries, bonuses, and related payroll taxes and benefits		
38	All other general and administrative expenses		
39	Total general and administrative expenses (Add lines 37+38)		
Financial Income and Expenses			
40	Interest expense		
41	Interest income		
Summary Statement			
42	Net sales from line 4		
43	Cost of goods sold from line 30		
44	Gross profit (Line 42 less line 43)		
45	Other operating revenue from line 5		
46	Selling, general and administrative expenses (Add lines 36 + 39)		
47	Interest expense net of interest income (Line 40 less line 41)		
48	Other Expenses (if other income, enter as negative)		
49	Net operating income (Add lines 44 + 45, less lines 46, 47, & 48) (This amount will normally be net income before income taxes, see instructions)		
Other Financial Information (See Instructions)			
50	Contributions to profit sharing		
51	Contributions to pensions		
52	Executive compensation (Equity Officers only)		
53	Health insurance premiums (include only the employer cost)		

Return to Industry Insights by February 4, 2022

Company Number:

Report figures in U.S. dollars only. Report figures on a GAAP basis.

	Current Year	Prior Year	Second Prior
BALANCE SHEET INFORMATION			
Assets			
54 Inventories of T&L products			
55 Trade receivables related to T&L products, net of allowances			
56 Other current assets			
57 Total current assets (Add lines 54 through 56)			
58 Property, plant, and equipment, at cost			
59 Accumulated depreciation			
60 Net property, plant and equipment (Line 58 less 59)			
61 Other assets			
62 Total assets (Add lines 57 + 60 + 61)			
Liabilities and Equity			
63 Short-term and current portion of long-term debt			
64 Accounts payable			
65 All other current liabilities			
66 Total current liabilities (Add line 63 + 64 + 65)			
67 Other liabilities, including long-term liabilities and deferred items.			
PPP PPP Loans / Government Grants / Other Funds for COVID-19 relief			
68 Stockholders' or partners' equity			
69 Total liabilities and owners' equity (Add lines 66 + 67 + 'PPP' + 68)			
OTHER INFORMATION			
Employment Statistics (See Instructions)			
70 Direct factory and production			
71 Indirect and supervisory production			
72 Sales and marketing			
73 Office, general and administrative			
74 Total employees (Add lines 70 through 73)			
Property, Plant and Equipment			
75 Cost of new property, plant and equipment purchased during the year			
76 Estimated fair value of items leased at year-end			
OTHER			
77 Average order size			
78 Customer returns as a % of sales			
79 Raw material returns (see instructions)			
80 Average number of presses for the year			
81 Average number of shifts per day for the year			
82 Total number of press hours consumed in the year			